“Awareness about Neo Banks Among Salaried Millenials”

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GUJARAT UNIVERSITY

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Center for Professional Courses,

Gujarat University, Ahmedabad

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Date: 6TH December 2025

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Preface

This report is the outcome of my sincere effort to understand how today's banking system is changing and how people, especially salaried millennials, are responding to this change. Banking has moved from physical branches to mobile screens, and neobanks have become an important part of this digital shift. While preparing this report, I explored how neobanks work, why they are becoming popular, and what challenges they face in India.

The study helped me learn not only about modern banking but also about how consumers think, behave, and make decisions in a digital world. I am grateful for the opportunity to work on this topic, as it has improved my knowledge of fintech, digital banking, and customer preferences.

I would like to thank everyone who supported me during this study—my teachers, classmates, and the respondents who took the time to share their opinions. Their contribution helped me understand the topic better and complete this report successfully.

Acknowledgement

We are sincerely thankful to our guide, **Dr. Gargi Trivedi** for her constant support, stimulating suggestions, and encouragement, which greatly assisted us in successfully completing our project work. Her close supervision over the past few months and helpful insights have been invaluable. Despite their busy schedule, her valuable advice and unwavering support have been an inspiration and a driving force for us. Her experience and knowledge have continuously helped shape our initial ideas into a comprehensive form.

I, hereby, take an opportunity to convey my gratitude for the generous assistance and cooperation, that I received from the **Dr. Ashish Siddiqui** and to all those who helped me directly and indirectly.

We are deeply indebted & thankful to our Department Faculties who helped and rendered their valuable time, knowledge and information and whose suggestion and guidance has enlightened on the subject.

We also thank **Dr. Paavan Pandit,** Director, CPC, GU for extending all the help and cooperation during our training period.

Finally, I am also indebted to my friends without whose help I would have had a hard time managing everything on my own.

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EXECUTIVE SUMMARY

This report focuses on understanding the awareness, perception, and usage of neobanking services among salaried millennials in India. Neobanks are fully digital banks that provide banking services through mobile apps without having physical branches. They are becoming popular because of their convenience, fast services, and user-friendly experience.

The study begins with the evolution of banking in India and explains how digital transformation and smartphone usage created a space for neobanks. It then discusses how neobanks operate, their types, services, advantages, and challenges. The literature review highlights that while digital banking is growing rapidly, trust and security still play a major role in consumer acceptance.

The research mainly focuses on salaried millennials aged 29–44, who are tech-savvy and actively use digital payment options. However, the study found that although millennials are comfortable with digital banking, many still lack clear awareness of the term “neobank.” Those who know about it appreciate features like instant onboarding, low fees, and better app experience but still worry about safety, regulation, and trust.

The report concludes that neobanks have a strong future in India, but they need more awareness programs, stronger security, and better regulatory clarity to gain the trust of mainstream users. With proper improvements, neobanks can play a major role in India’s digital finance ecosystem.

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Chapter 1 : INTRODUCTION

1.1 Introduction to Banking in India :

Banking in India has a long and fascinating history that reflects the economic, political, and social evolution of the country. The earliest form of banking dates back to the Vedic period (around 2000 BCE), where moneylenders and traders offered basic financial services such as loans and safekeeping of valuables. Temples and religious institutions were also regarded as safe repositories of wealth. These early financial systems were informal and unregulated but served a crucial function in facilitating trade and economic activity across villages and towns.

With the arrival of British colonial rule in the 18th and 19th centuries, the Indian banking landscape underwent a significant transformation. The British introduced Western-style commercial banking, establishing several important banks. The Bank of Hindustan, founded in 1770, was one of the earliest banks in the country, though it ceased operations by Bank of Bombay (1840), and Bank of Madras (1843). These were primarily British-owned and operated to serve the colonial administration and European merchants. In 1921, these banks merged to form the Imperial Bank of India, which eventually became the State Bank of India (SBI) in 1955.

1.2 Post-Independence Reforms and the Role of the RBI :

India gained independence in 1947, and with it came a desire to develop a financial system that could support the goals of economic development, industrialization, and social welfare. A landmark event in this process was the establishment of the Reserve Bank of India (RBI) in 1935 under the Reserve Bank of India Act. After independence, the RBI was nationalized in 1949 and assumed the role of the central banking authority in India. Its core functions include regulating monetary policy, managing the issuance of currency, overseeing commercial banks, and ensuring financial stability.

In a bold move to align banking with national development goals, the Government of India nationalized 14 major commercial banks in 1969, followed by 6 more in 1980. These nationalizations were carried out with the objective of expanding the banking network into rural and semi-urban areas, promoting financial inclusion, and directing credit to key sectors like agriculture, small industries, and exports. This shift marked the transformation of banking into an instrument of socioeconomic policy. The banking sector now aimed not just for profit, but for serving broader national priorities.

The Regional Rural Banks (RRBs) were established in 1975 to provide credit to the agricultural and rural sectors, further deepening financial penetration into remote areas. Cooperative banks, both urban and rural, also played an important role in supporting grassroots-level economic activity, particularly in farming and small-scale industries.

1.3 Liberalization and the Modern Banking Era :

A significant shift occurred in 1991 when India underwent economic liberalization, prompted by a balance-of-payments crisis. These reforms included deregulation, privatization, and the opening up of the banking and financial services sector to private and foreign players. Several private sector banks such as ICICI Bank, HDFC Bank, Axis Bank, and IndusInd Bank were granted licenses, ushering in a new era of competition, customer-focused services, and technological innovation. Foreign banks were also allowed to expand their presence in India, bringing in global best practices and increasing efficiency.

Today, the Indian banking system is broadly categorized into several types: public sector banks (majority government-owned), private sector banks, foreign banks, regional rural banks, cooperative banks, and newly emerging payments banks and small finance banks aimed at serving niche and underserved segments. These are all regulated by the

RBI, which sets norms on capital adequacy, non-performing assets (NPAs), risk management, and digital security.

Technological advancement has radically transformed Indian banking in the last decade. The launch of the Unified Payments Interface (UPI), internet and mobile banking, digital wallets, and core banking systems have made banking faster, more accessible, and more secure. The emergence of neobanks—completely digital banks with no physical branches—has attracted a new generation of users, especially salaried millennials and tech-savvy customers. These digital banks offer intuitive mobile apps, zero-balance accounts, real-time support, and financial management tools that align with the expectations of a digital-first population.

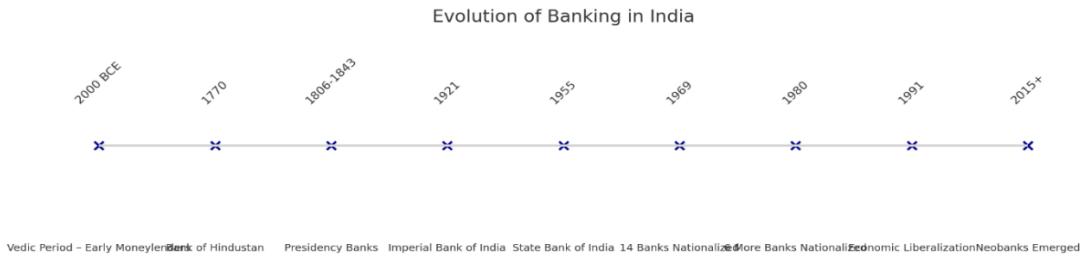


FIGURE 1 EVOLUTION OF BANKING IN INDIA

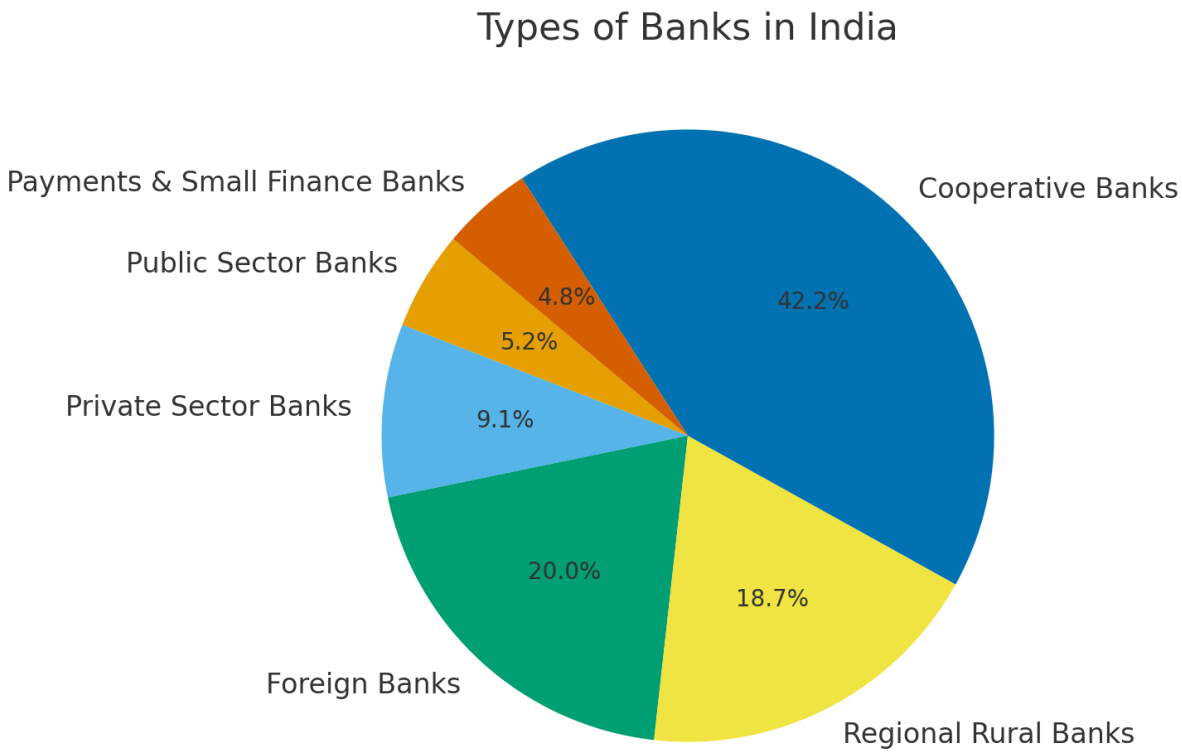


FIGURE 2 TYPES OF BANKS IN INDIA

1.4 Evolution of neobanking in India :

The Indian neobanking landscape has grown exponentially over the last two years. Even with over 18 players vying to scale up their businesses, aspects like distinct product offerings and target customer segments of each neobank ensure substantial growth potential for them in the coming years. The journey of financial services in India is evolving with upgraded banking infrastructure, new banks and regulatory mandates, and technologically advanced FinTechs, with an increased focus on customer needs. Additionally, factors like incumbent banks looking for strategic partnerships with neobanks and interest from private equity players are adding to the growth story of India's neobanking space.

1.5 The Indian neobank ecosystem landscape:

Start-up neo-banks are growing year on year (YoY) and building a competitive digital banking landscape. Indian neobanks are yet to receive specific licences or regulatory approvals. Hence, digital banks/challenger banks don't exist in the country unlike in some foreign countries. Banking partnerships form the core of neobanks in India and this is a major difference between the global and Indian neobanking models.

1.6 Types of Neo Banks :

Even though the services neo banks provide are somewhat similar to the traditional banks, they differ on certain points like their types. Read below to know the different types of neo-banks available in the financial industry:

- **Digital Banking Units**

Digital banking units refer to the independent digital units or the standalone version of an established bank. One prime example would be the YONO of SBI (State Bank of India).

With the ongoing digital advancements in the country, it has now become crucial to have a digital standalone bank or a virtual banking licence in order to cater to the financial needs of the new and updated generation.

However, already established banks can only acquire their virtual banking licence only if they have sufficient capital to ensure the deposits of their investors.

- **Front End Neo Bank**

  A front-end neo bank does not tend to have a banking licence to operate services. Hence these banks need to rely on the partnership of other traditional banks or NBFC to have backup when providing services to their customers.

  These types of neo-banks often act as the piggy banks on the balance sheets of the traditional banks since they do not have their own banking licence to work as a standalone bank.

- **Full Stack Digital Banks**

  Full-stack digital banks tend to offer a broad selection of banking services, hence the name. However, they need to have the approvals of the regulatory banks to conduct such services. They can issue loans and deposits along with maintaining their independent brand and balance sheets

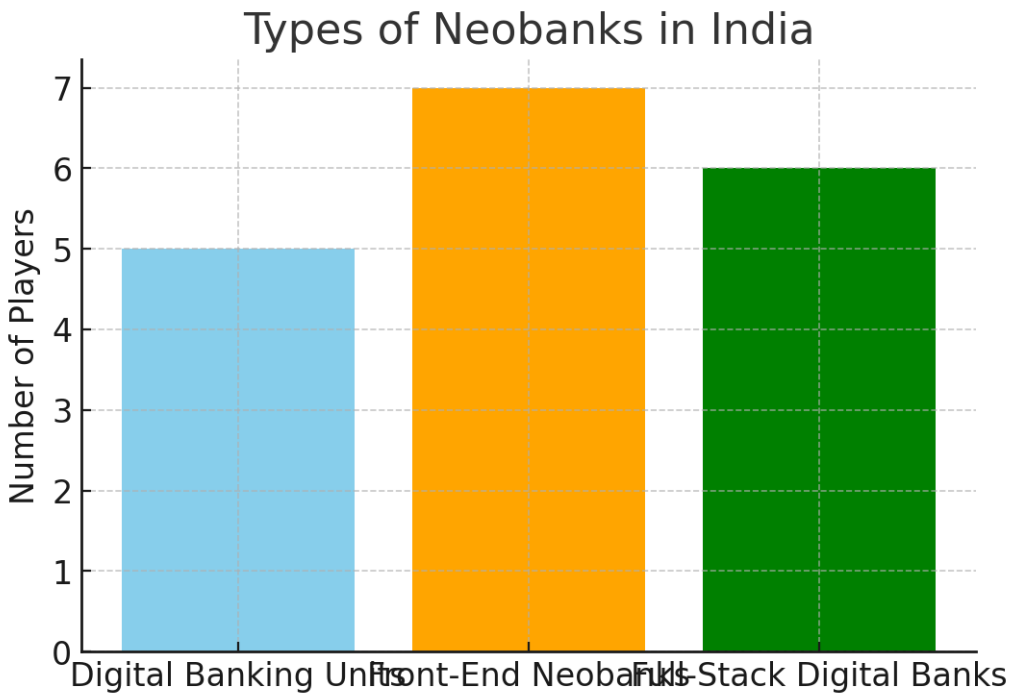


FIGURE 3 TYPES OF NEOBANKS IN INDIA

1.7 How do Neo Banks Work?

Since no banks work digitally these do not have any physical infrastructure and, hence are devoid of any location or employees working in the office. However, like all other traditional banks, their primary job is to provide credit and deposit opportunities. It implements such services in the following ways:

- It works in partnership with already established banks to provide the latest banking services through convenient and user-friendly mobile applications.
- These banks manage end-to-end customer acquisition, providing instant customer support digitally to resolve the issues at the earliest.
- Their banking partners usually keep the funds of their customers and provide them access to those for lending as well.
- Neo banks in India work on data-driven services. Based on tracked data a customer's recent actions they tend to improve the services.

Nevertheless, some of the effective services they offer include the following:

- Online bill payments
- Direct deposit remotely
- Electronic money transfer

1.8 Future Prospects for Neobanks :

The future potentials for neobanks are seemingly bright. The primary reason for the growing popularity of neobanks is their fully digital nature and the simplicity of their services. These services enable customers to perform banking tasks from the comfort of their homes or any location

of their choice, eliminating the need to visit physical branches (Padmanabhan, 2021). Despite the shift towards digitization in traditional banks, they still maintain a significant market share in the banking industry. Nevertheless, recent trends and research indicate a consistent migration of customers towards banks that provide "online-only" solutions (Statista, 2023). The global neobank market is expected to grow at a CAGR of around 46.5% between 2019 and 2026, generating around USD 394.6 billion by 2026. The growth of the market is driven by several factors such as the increasing adoption of smartphones, the growing demand for digital banking services and the increasing number of partnerships between traditional banks and fintech companies.

1.9 Advantages Of Neo Banks:

Neobanks have emerged as a modern alternative to traditional banking in India, offering a range of advantages tailored to the digital-first lifestyle of today's consumers. Their key strengths lie in their accessibility, low-cost structure, and seamless user experience. By operating entirely online, neobanks eliminate the need for physical branches, enabling customers to open accounts and conduct transactions conveniently through mobile apps. Their interfaces are designed to be user-friendly, often incorporating smart financial tools like expense tracking and budgeting features. These banks also play a critical role in promoting financial inclusion by serving gig workers, freelancers, and small businesses that are often underserved by traditional banks.

1.10 Disadvantages Of Neo Banks:

However, neobanks also come with notable limitations. Their lack of physical branches may deter customers who prefer in-person service, and their product offerings are often limited, especially when it comes to loans or fixed deposits, as they typically partner with licensed banks to operate. Additionally, trust and regulatory clarity remain ongoing

concerns in the Indian market. As purely digital entities, neobanks depend heavily on internet infrastructure and are exposed to potential cybersecurity threats. Despite these challenges, the rapid growth of neobanks reflects a broader shift toward digital financial services and highlights their potential to transform the Indian banking landscape.

1.11 Services Provided By The Neo Banks :

Neo banks in India offer a range of financial services primarily through digital platforms, focusing on convenience, lower fees, and enhanced user experience compared to traditional banks. They provide services like account opening, fund transfers, loans, and investment options, often incorporating features like real-time notifications, budgeting tools, and personalized financial insights.

1. Account Management:

- **Account Opening:** Neo banks allow users to open accounts (savings or current) digitally, often with minimal paperwork and faster processing times.
- **Fund Transfers:** Facilitate easy and quick fund transfers through various methods like NEFT, RTGS, and IMPS.
- **Debit Cards:** Offer debit cards for convenient spending and ATM access.
- **Savings Accounts:** Provide high-yield savings accounts with competitive interest rates.
- **Real-time Notifications:** Send instant updates on transactions, account balances, and other important activities.

2. Lending and Credit:

- **Personal Loans:** Offer personal loans with varying loan amounts and repayment tenures.
- **Credit Services:** Some neobanks are also venturing into credit and lending services, although they often partner with traditional banks for these.

3. Financial Management Tools:

- **Budgeting Tools:** Help users track expenses, categorize transactions, and set budgets.
- **Spending Insights:** Provide detailed analysis of spending habits, helping users understand where their money is going.
- **Goal Setting:** Allow users to set financial goals and track their progress.
- **Personalized Financial Advice:** Use data analytics to offer tailored financial advice and product recommendations.

4. Investment and Other Services:

- **Investment Options:** Some neobanks offer access to investment platforms for mutual funds, fixed deposits, or other investment products.
- **Integration with Other Services:** Many neobanks integrate with other financial apps and services, making it easier for users to manage their finances in one place.
- **Automated Accounting:** Some neobanks provide automated accounting solutions for businesses.

- **Cash Management:** Offer tools and services for efficient cash management.

5. Enhanced Security:

- **Biometric Authentication:** Use fingerprint or facial recognition for enhanced security.
- **Two-Factor Authentication (2FA):** Implement 2FA to add an extra layer of security to user accounts.
- **Encryption:** Employ encryption technologies to protect sensitive user data.

1.12 Challenges Faced By neo banks In India :

Neobanks in India encounter several challenges that hinder their growth and widespread adoption. A key issue is regulatory ambiguity, as the Reserve Bank of India does not currently grant direct licenses to neobanks, forcing them to operate under partnerships with traditional banks. This limits their autonomy and ability to innovate independently. Additionally, the lack of physical branches can reduce trust, particularly among older or rural customers who prefer face-to-face interaction. Their offerings are often restricted to basic services like savings accounts and payments, which may not satisfy users seeking comprehensive financial solutions. Building credibility in a market dominated by established institutions also presents a hurdle. Operationally, neobanks must navigate complex compliance requirements, including stringent KYC and anti-money laundering norms. Cybersecurity is a major concern, given the fully digital nature of these platforms and the value of customer data. Furthermore, low digital literacy among certain user segments and a cash-driven economy complicate user acquisition. Integration with

legacy banking infrastructure and competition from both traditional banks and other fintech companies intensify the pressure. Despite these challenges, neobanks hold promise for promoting financial inclusion and reducing costs through technological innovation, but they must address these obstacles to achieve sustainable growth.

1.13 Digital Innovation and Customer-Centric Approach of Neo Banks :

The rapid growth of neo banks in India is closely tied to digital innovation and a strong emphasis on customer-centricity. Unlike traditional banks, neo banks operate exclusively through digital platforms, eliminating the need for physical branches. They focus on mobile-first experiences, offering intuitive interfaces, instant services, and personalized financial tools tailored to tech-savvy users. These banks leverage real-time data analytics to provide budget tracking, financial insights, and goal-based planning. Their agile and tech-powered models not only reduce operational costs but also deliver a faster, more seamless banking experience suited for modern salaried millennials.

By prioritizing user experience, neo banks have revolutionized the way salaried millennials manage their finances. Features like instant account opening, zero-balance savings accounts, real-time transaction alerts, and AI-powered chat support cater to the expectations of digital-first users. These services are not only convenient but also empower users with greater control and transparency over their financial activities. Furthermore, neo banks continuously evolve based on user feedback, ensuring their offerings remain relevant and adaptive. This high degree of personalization distinguishes them from traditional banks and enhances their appeal among younger, tech-savvy demographics.

The integration of advanced technology in neo banking has enabled the delivery of financial services that are faster, more secure, and highly personalized. Through mobile-first platforms, biometric authentication, and AI-driven analytics, neo banks offer tailored financial advice and spending insights, which enhance financial decision-making. For salaried millennials who value agility, transparency, and control, these innovations meet their financial needs far more effectively than legacy systems. As a result, neo banks are reshaping the expectations of banking and contributing to a more inclusive and digitally empowered financial ecosystem.

1.14 Characteristics of Neo Banks:

1. Digital-Only Operations: Neo banks operate entirely online, without physical branches, relying on mobile apps and websites for all customer interactions.

2. User-Centric Design: Neo banks prioritize ease of use and intuitive interfaces, making it simple for customers to manage their finances.

3. Speed and Efficiency: They leverage technology to provide faster account opening, fund transfers, and customer service responses compared to traditional banks.

4. API Integration: Neobanks often provide APIs for easy integration with other financial and accounting systems, streamlining business operations.

5. Focus on Specific Niches: Some neo banks in India specialize in serving particular customer segments, such as freelancers, small businesses, or the youth.

1.15 Neo Banking Regulatory Support :

The Neo Banks have not yet been approved by the Reserve Bank of India (RBI). Therefore, in order to provide financial products and services, they have to be involved with regulated banks and financial institutions.

Neo banks are a financial technology company that provides banking-like services through the digital interface. While these services are similar to the services offered by traditional banks and paid lenders, these are not subject to the same regulatory framework that governs more traditional institutions. Finlaw can help its client with Neo Banking Regulatory Support.

Before being able to provide financial services, one usually needs some form of financial license. Licenses vary between permitted activities and requirements within the organization and are usually issued by local regulators such as central banks and financial market supervisors and government agencies.

Regulatory framework and licensing requirements vary between authority and financial services types. The choice price of the regulatory license depends on the proposal and the business model that was created earlier

1.16 List Of Neo Banks In India :

Name	Year Established	Key Features and Services	Target Audience	Unique Selling Points	Key Partnerships
Niyo	2015	Digital savings accounts, Niyo Global (Forex), Niyo Money, expense tracking, personal finance insights	Individual, frequent travelers	Global forex card, personalized financial insights, zero forex conversion fees	Yes, partnered with Equitas Small Fianance Bank
RazorpayX	2018	Business account, invoicing, payroll, GST	SMEs, startups	Comprehensive business banking suite, integrated with Razorpa	Yes, partnered with IDFC First Bank

		filing, seamless payment solutions		y payments	
Open	2017	Business accounts, integrated accounting software, expense management, tax filing	SMEs, startups, entreprneurs	Smart banking for startups with integrated accounting, card issuance, and easy expense tracking	Yes, partnered with ICICI Bank
Finbox	2020	Personal finance management, credit score monitoring,	Individuals	Personal finance management with AI-powered insights, simplifie	Yes, partnered with SBM Bank

		flexible savings options, investment tracking		d credit access	
Jupiter	2020	Smart savings, instant loans, joint accounts, zero balance requirements, automatic savings	Young professionals, students	Automated savings with "Goals", easy-to-use interface, no minimum balance or hidden charges	Yes, partnered with Federal Bank
Yelo	2020	Business accounts, no-fee transfers, customizable	Startups, SMEs	Flexible and customizable banking products for businesses, fast	Yes, partnered with YES Bank

		banking services, employee benefits		onboarding, and seamless integration	
Zolve	2020	Global accounts, instant credit line, expense tracking, zero foreign transaction fees	NRI, expats, travelers	Global accounts that work across borders, easy international money transfers, no forex charges	Yes, partnered with FinBox, Visa
Fampay	2020	Prepaid cards, allowance management, family-friendly features, child	Teens, parents, families	First app dedicated to helping families manage finances together, easy-to-use prepaid	Yes, partnered with RBL Bank

		financia l tools		cards for children	

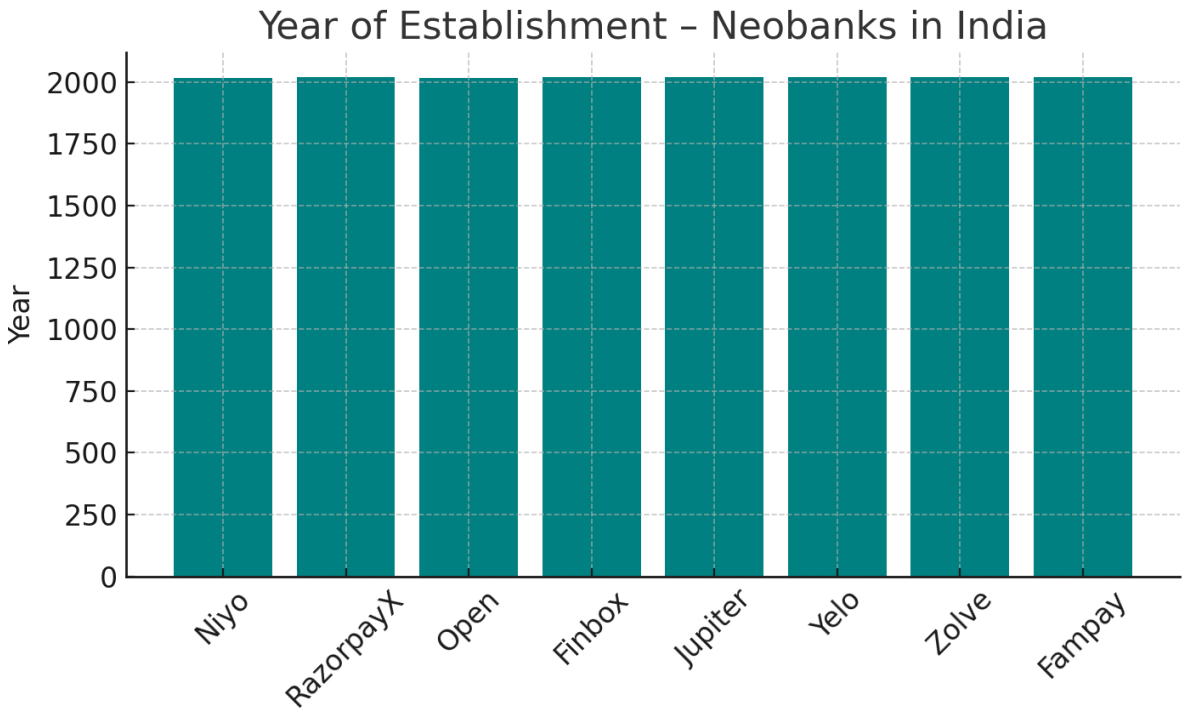


FIGURE 4 YEAR OF ESTABLISHMENT-NEOBANKS IN INDIA

1.17 Security Framework of Neo-Banks in India :

The term “securities” in neo-banking generally refers to the safeguarding of customer funds and data rather than traditional financial instruments like stocks or bonds. Neo-banks in India operate through a partnership model with established, RBI-regulated banks, meaning customer deposits are securely held by these partner institutions. For instance, Niyo collaborates with IDFC FIRST Bank, allowing customers to access their funds through ATMs and mobile apps, similar to traditional banking experiences.

These neo-banks prioritize strong security measures, including the use of robust encryption technologies to protect user data and transactions, along with two-factor authentication (2FA) to provide additional layers of account protection. They also offer features such as the ability to lock or unlock cards and control specific types of transactions, giving users

greater control over their financial activities. Moreover, neo-banks are required to comply with Reserve Bank of India (RBI) regulations and are expected to maintain transparent data privacy policies to ensure customer data is not misused. Some neo-banks are also exploring emerging technologies like blockchain to enhance transaction security and transparency, particularly in peer-to-peer and international transfers. Smart contracts are being considered for automating lending and other financial services. To build trust, neo-banks focus on educating users about their security protocols and maintaining transparency in fee structures, ensuring users are not caught off guard by hidden charges. While neo-banks do not issue traditional securities, they emphasize digital safety, regulatory compliance, and innovative technologies to ensure the security of both customer funds and data.

1.18 What is the need for neo banks?

India has been gradually moving towards a digital economy over the few past years. The vision of the digital economy was given a further push in the demonetization era as well as the introduction of UPI as a payments interface. Furthermore, The Indian start-up sector has generated many unicorns in the fintech space that have become global names over time. This growing importance of the fintech sector and the need and reliance on digital banking has given rise to the neo banks in the country.

The average Indian today is making more online payments than relying on cash for their basic needs to bigger financial transactions. The growth of giants like PayTM, Google Pay, Phone Pe, Bharat Pe has shown the categorical shift in the banking expectations of the consumers and has further increased the presence of neo banks in the country.

1.19 Comparative Overview of Traditional Banks and Neo-Banks:

Traditional banks continue to enjoy greater popularity in India due to their widespread accessibility, strong public awareness, and extensive physical presence across urban and rural areas. In contrast, neo-banks are relatively new entrants in the Indian financial sector and operate entirely online, without any physical branches, which limits their reach and customer familiarity. Traditional banks also offer a wide range of non-banking services such as locker facilities, personal banking, relationship managers, factoring services, Demat accounts, and ATM access. Neo-banks, on the other hand, generally do not provide these additional services, making them less attractive to customers who seek a complete and traditional banking experience. Furthermore, traditional banks operate with a clear banking license and fall directly under the regulatory framework of the Reserve Bank of India (RBI) and the Banking Regulation Act, which enhances customer trust and legal oversight. Neo-banks lack a direct banking license and function by partnering with licensed banks, as they are not yet regulated independently by the RBI. When it comes to demographics, traditional banks are more popular among the older generation, who are more comfortable with in-person interactions and familiar processes. Neo-banks, however, have gained traction among the younger population due to their app-based services and tech-savvy interfaces. While traditional banks have digital offerings, especially private sector banks, many public sector banks still lag in terms of technological efficiency and user experience. Neo-banks leverage advanced digital platforms to offer a smoother, more responsive, and user-friendly banking experience, which is often free from the glitches and delays common in traditional systems.

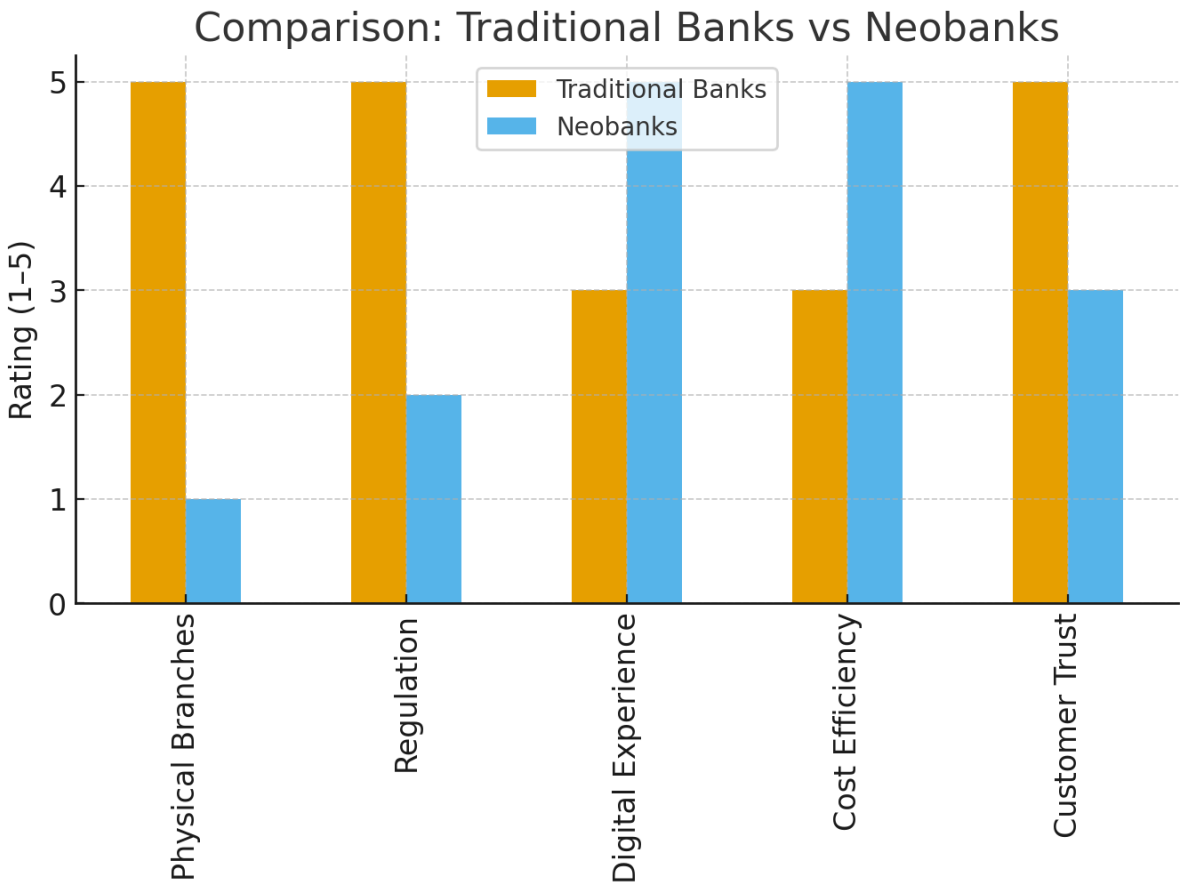


FIGURE 5 COMPARISION : TRADITIONAL BANKS VS NEOBANKS

1.20 How do neobanks make money?

Neobanks generate most of their revenue through interchange fees and charging interest on loans and credit cards. Varo, for example, generates 98% of its revenue from interchange fees.

Neobanks operate without physical locations, resulting in lower overhead, which allows them to operate more efficiently and rely on interchange fees for the majority of their revenue.

Other ways neobanks make money include:

- Transaction fees: While most neobanks don't charge fees for accounts, many do charge a small fee for bank transfers, ATM withdrawals, or money transfers.

- Subscription fees: Some neobanks, like Chime and Revolut, offer premium services in exchange for a monthly subscription fee.
- Loan interest: Some neobanks offer loans and credit cards. The interest charged on these products contributes to their overall revenue.

It's worth noting that different neobanks use different revenue models, so fees vary from bank to bank. Neobanks require a smaller revenue stream to succeed due to their lower overhead.

1.21 Should You Consider Using a Neobank?

Neobanks are great if you prefer the convenience of managing your finances digitally from your mobile phone anywhere at any time.

They are also a cost-effective option for small businesses, as these fintech companies often have lower or no fees compared to traditional banks.

But it's also crucial that you take the time to consider the options by weighing out the pros and cons, the services they offer, and your own preference when it comes to banking and money management.

1.22 Objective Of The Research: Awareness Of Neo Banks Among Salaried Millenials.

The primary objective of this research is to explore and evaluate the level of awareness, perception, and adoption of neo banks among individuals in India, with a special focus on salaried millennials—one of the most digitally active and financially engaged segments of the population. This study aims to understand how well this demographic is informed about neo banks, their services, and the differences between neo banks and traditional banking systems. It seeks to identify the key motivators that encourage individuals to shift to or adopt neo banking platforms, such

as user-friendly mobile interfaces, zero-balance accounts, real-time customer support, AI-driven financial insights, and faster digital onboarding. Furthermore, the research investigates the major barriers that prevent wider adoption, including concerns about security, lack of regulatory clarity, limited trust, and unfamiliarity with digital-only financial models.

Through structured surveys, interviews, and other primary data collection tools, the study also intends to examine how socio-economic factors—such as age, income, education level, and tech proficiency—affect awareness and usage patterns. Additionally, it aims to evaluate the satisfaction levels of existing neo bank users and gather insights into their overall experience. The ultimate goal is to generate meaningful recommendations for fintech companies, marketers, and policymakers to bridge the awareness gap, build customer trust, and foster greater adoption of neo banking solutions in India's evolving digital financial ecosystem.

1.23 Who Are Salaried Millenials?

Salaried millennials are individuals born between 1981 and 1996 (aged approximately 29 to 44 as of 2025) who earn a regular income through formal employment. This generation represents a significant portion of the working population in India and globally. They are typically well-educated, tech-savvy, and value convenience, flexibility, and work-life balance.

In the Indian context, salaried millennials are often employed in sectors such as IT, finance, marketing, education, healthcare, and government services. Many of them reside in urban areas, are fluent in digital technologies, and actively use mobile apps and online platforms for tasks ranging from banking and shopping to investing and social networking.

Financially, this group is characterized by both opportunity and challenge. While many have stable incomes and aspire for upward mobility, they also face rising living costs, loan burdens (such as education or home loans), and an increasing need for financial planning. Their openness to new financial technologies makes them a prime target market for fintech innovations like neo banks, digital wallets, and investment platforms.

1.24 Financial Behaviour of the Millennials :

Salaried millennials, typically aged between 25 and 40, represent a generation navigating a complex financial landscape shaped by rapid technological change, rising debt levels, and evolving lifestyle priorities. Their financial behavior is influenced by the need for convenience, speed, and digital integration, which has made them more open to adopting fintech solutions like neo banks. However, despite this openness, their actual awareness and understanding of neo banks remain varied and often limited.

Many millennials struggle with debt management, impulsive spending habits, and risk-heavy investments such as cryptocurrencies, due in part to gaps in financial literacy and planning (Faramitha, 2021; Astuti, 2023). Their preference for digital-first experiences over traditional banking methods makes them ideal potential users of neo banks, which offer app-based, paperless, and customer-centric financial services. Yet, without proper awareness of how neo banks function—especially their lack of direct RBI regulation and dependence on partner banks—millennials may either overestimate their capabilities or remain hesitant to trust them.

The COVID-19 pandemic further highlighted the need for secure and flexible financial tools. Many millennials faced job losses or income reductions, which increased their interest in managing money digitally,

but also emphasized the importance of financial security and risk management (Tahang, 2023). These circumstances provide a critical context for exploring how well millennials understand, trust, and engage with neo banking platforms.

Hence, understanding the financial behaviour of millennials is essential to assess their awareness, perception, and usage patterns of neo banks. This includes examining their financial literacy, their trust in digital financial services, and the influence of external factors like the pandemic on their openness to adopt neo banking solutions. Such insights are key to developing targeted awareness campaigns, education strategies, and policy frameworks to boost the adoption of neo banks among this tech-savvy yet financially vulnerable demographic.

1.25 AI in Neobanking: Smart personalization :

AI enables the personalization of financial services, benefiting both businesses and users.

For customers, AI-driven personalization means better user experience: tailored recommendations for spending and savings, gamification elements, personalized financial advice, and detailed reports on financial activity. Such an app encourages users to engage more, explore their financial habits, and plan their finances more effectively.

For businesses, AI serves as a powerful tool for behavioral analytics, helping to understand user interactions within the app, identify the most used features and points to improve them and optimize retention strategies. Additionally, AI can be leveraged to promote specific product offerings. For example, it can help increase the adoption of savings accounts among existing users.

1.26 UX & convenience: The evolution of user experience:

Modern neobank users expect full control over their finances. A self-service interface has become the standard, enabling customers to manage accounts, loans, and investments without contacting support. This approach saves time, reduces operational burdens for banks, and enhances customer loyalty.

An intuitive design and a deep understanding of the user journey play a crucial role here. Users dislike complex, cluttered interfaces, and neobanks that fail to offer seamless, autonomous financial management risk losing their competitive edge.

Early generations of neobanks often overlooked design, and some still rely on outdated interfaces, making them seem like *digital dinosaurs.* However, there's no single formula for the perfect UI/UX**.** While some audiences prefer a minimalist, ultra-simplified design, Millenials may appreciate gamified, vibrant experiences reminiscent of *Mario-style* interactions. Identifying the ideal design requires deep audience analysis and behavioral insights rather than simply following trends.

1.27 Cryptocurrency solutions in neobanks :

Since late 2021, cryptocurrency ownership has nearly doubled. By 2025, around 28% of American adults — approximately 65 million people — are expected to hold digital assets. Additionally, 14% of non-investors plan to enter the crypto market this year, while 67% of existing holders intend to expand their portfolios.

Experts predict that cryptocurrency will continue to integrate into everyday life. The U.S. government has even signed an executive order to

establish a strategic crypto reserve. Today, digital assets are already being used for everyday purchases in many countries. For example, in the U.S., the grocery chain Whole Foods accepts Bitcoin and other cryptocurrencies via the Flexa app.

However, managing crypto assets through third-party platforms remains inconvenient. Users seek an all-in-one solution where their financial tools are consolidated. In 2025, the highest potential belongs to neobanks that integrate crypto wallets and exchanges directly into their mobile apps, simplifying digital asset management within a familiar banking environment.

1.28 Cross-Border Neobanking and Multi-Currency Wallets:

As digital nomads, remote workers, and global merchants increase, the demand for seamless international banking grows. Neobanks are responding with multi-currency wallets, real-time FX, and global bill payment tools.

In 2025, cross-border capabilities will be a major differentiator, which will enable users to manage finances across regions without friction or excessive fees. These features support global freelancers, diaspora communities, and SMEs with international supply chains.

1.29 Use of block-chain technology in neobanking :

- **Secure and transparent transactions:** Blockchain provides a decentralized and immutable ledger that records every transaction. Neobanks can leverage blockchain to enhance the security and transparency of financial transactions, ensuring that they are tamper-proof and eliminating the need for intermediaries.

• **Cross-border payments and remittances**: Blockchain enables faster and more cost-effective cross-border transactions by eliminating intermediaries, reducing transaction fees, and increasing the speed of settlement. Neobanks can utilize blockchain networks to facilitate instant and secure cross-border payments, making international transactions more efficient.

• **Smart contracts and automation**: Neobanks can leverage blockchain's smart contract capabilities to automate various financial processes, such as loan agreements, insurance claims, and investment contracts. Smart contracts are self-executing agreements that automatically enforce the terms and conditions written into the code, eliminating the need for manual intervention and increasing operational efficiency.

• **Identity verification and KYC:** Blockchain technology can help neobanks enhance identity verification and KYC processes. By storing customer information on a blockchain, neobanks can create a secure and decentralized repository where users have control over their data and can selectively grant access to authorized parties, streamlining the KYC process and reducing the risk of identity theft.

• **Tokenization of assets:** Neobanks can leverage blockchain to tokenize traditional assets, such as real estate, stocks, or commodities. Through tokenization, these assets can be divided into digital tokens that can be easily traded and transferred on blockchain networks, providing increased liquidity and accessibility for investors.

• **Data security and privacy:** Blockchain's decentralized nature and cryptographic techniques can enhance data security and protect customer information. Neobanks can leverage blockchain networks to securely store and share sensitive customer data, reducing the risk of data breaches and unauthorized access. By incorporating blockchain technology, neobanks can improve transaction efficiency, reduce costs,

enhance security, and create innovative financial products and services, ultimately providing a more seamless and customercentric banking experience.

1.30 Cultural and Behavioral Insights:

India's youth are redefining banking, favoring innovation and convenience over the legacy markers valued by previous generations. For Gen Z and Millennials, 24/7 accessibility and personalized experiences take precedence. These consumers expect banks to function like their favorite apps: intuitive, always accessible, and personalized.

This cohort values the integration of banking with other digital services, such as wallets, investments, and financial analytics. For instance, many neo-banks provide seamless connections with UPI-based payments and budgeting tools that allow users to track expenses in real time. These features align with the preferences of a generation accustomed to managing their lives digitally.

Traditional banks, with their reliance on physical infrastructure and slower adaptation to technological advances, are increasingly seen as outdated by India's youth. Legacy and reputation, once cornerstones of trust, no longer hold the same appeal. The generational shift reflects a broader trend: trust is now built through convenience, innovation, and transparency, rather than through long-established institutional histories.

1.31 Broader Economic Impact :

Neo-banks are not just reshaping how individuals interact with their money—they are also driving financial inclusion across India. Digital-first platforms have significantly reduced the barriers to accessing banking services, especially in tier 2 and tier 3 cities, where traditional

bank branches are often sparse. With a smartphone and an internet connection, users in these regions can open accounts, transfer funds, and access savings tools in minutes.

Neo-banks have become indispensable for gig economy workers and small businesses. Platforms like RazorpayX offer features tailored to freelancers and entrepreneurs, such as automated payment systems and cash flow management tools. These innovations enable small-scale enterprises, which often face hurdles with traditional banks, to operate more efficiently and securely.

Government initiatives have played a critical role in fostering this transformation. Programs under Digital India have expanded internet access to rural areas, while open banking frameworks introduced by the Reserve Bank of India (RBI) encourage collaboration between fintech firms and traditional financial institutions. The growth of UPI, which neo-banks heavily rely on, is another testament to how public policy has facilitated financial innovation.

As neo-banks continue to grow, their ability to integrate underserved populations into the formal financial system has broader implications for economic development. By democratizing access to banking, they are not just meeting the needs of India's youth but also contributing to the country's long-term economic resilience.

1.32 What's Next for Neo-Banks in India?

The future of neo-banks in India is bright but will require strategic evolution to sustain momentum. One key development will likely be increased partnerships between traditional banks and fintech companies. These collaborations will help neo-banks navigate India's regulatory landscape, which currently restricts fully independent digital banks. By leveraging the infrastructure and licenses of established

banks, neo-banks can expand their reach while addressing compliance requirements.

Security and trust, consistently highlighted as barriers, are also areas ripe for improvement. As neo-banks continue to invest in advanced cybersecurity protocols—including biometric authentication, encryption, and real-time fraud detection—they can reassure customers about the safety of their platforms. Transparent communication about these measures will be essential for building long-term trust.

Expanding service offerings is another critical priority. Neo-banks have primarily focused on payments, savings, and money management, but the next phase will likely include loans, investment products, and credit facilities. These additions will allow neo-banks to transition from supplementary services to full-fledged financial ecosystems, increasing their appeal as primary banking providers.

As smartphone penetration deepens and India's digital infrastructure improves, neo-banks are also expected to play a greater role in financial inclusion. By innovating to meet the unique needs of rural and underserved communities, these platforms can help bridge the gap between India's urban and rural economies, fostering equitable growth.

India's journey toward becoming a global fintech powerhouse is just beginning. With a young, tech-savvy population at the helm, supported by progressive government policies and relentless innovation, the future of banking in India is undoubtedly digital—and it's already here.

1.33 Tips to Choose a Neobank :

Neobanks may offer a great deal of convenience due to its complete digital presence. However, the fact remains that they are partially or fully unregulated in terms of their offerings by RBI currently. Hence, it is

essential to choose one based on its management expertise in managing risk related to banking & finance.

1.34 Five key points to keep in mind before choosing the right neobank:

1. **Know your banking needs –** The kind of banking partner one needs depends on how complex the individual's banking need is. Today, most digital banking apps offer the same set of functionalities that a neobank provides, so it is good to know what your bank offers before signing up for a neobank.

2. **Insurance –** Banking is a business of trust & the government, with its regulation, offers to protect the depositors from default through an insurance program. This insurance program ensures that the insurer pays depositors in case the bank defaults on the deposit repayment. The same rules do not govern neobanks. The best way to work with neobanks is to ascertain if they offer a private deposit insurance scheme to protect the depositor.

3. **You are comfortable with technology –** Neobanks work best for tech-savvy folks and want banking at their fingertips. Neobank apps are minimal, with a clean & straightforward UI design.

4. **You want to get better at money management –** In a world that thrives on making you spend more & more money. Neobanks, with their ease of use, can significantly help you design a reward & a goal-based system. Such programs can lead you to invest wisely & track all your unwanted expenses simply because money saved is money earned.

5. **Account management & reconciliation –** If you are a business or an entrepreneur, you may need more than one system to manage your finances. Neobanks can combine all of it into one & offer business insights through its reports that can save time in decision-making.

1.35 Proactive Defence in a Complex Threat Landscape :

Cyberattacks are becoming more sophisticated, with AI-driven ransomware and attacks on critical infrastructure on the rise. Security teams must stay ahead despite staffing shortages and growing data volumes.

Traditional perimeter defences alone are no longer sufficient. Once attackers bypass these, they can move undetected within networks, stealing data and disrupting systems.

This requires proactive threat detection and rapid response, combining foundational security like multi-factor authentication with advanced tools including AI and automation. These technologies help identify threats quickly, reduce response times, and in some cases neutralise attacks before impact.

Modern networks use layered security approaches, including Zero Trust frameworks that verify every user and device and AI tools that monitor traffic for suspicious activity.

While AI is changing cybersecurity, human expertise remains essential. AI flags potential threats, but it takes skilled professionals to analyse and respond to them effectively.

1.36 Will NeoBanks Success In India :

While the future of neobanks in India really seems brilliant, for it to erase the popularity and credibility of the traditional banks is a distant concept. There are specifically reasons for neobanks to path in the back of the traditional banking machine –

• Traditional banks in India offer a whole lot of services and products, retaining in thoughts customers from all strata of society. As a result, one could discover traditional banks even inside the remotest of Indian villages which do not have any net facility. On the opposite, the top neobanks in India provide a handful of products and services curated specially for a positive purchaser base.

• Since the rate of smartphone penetration in India is 54% as of 2020, the quantity of nontech-savvy humans within the us is massive. To them, the idea of a bank stays the conventional modes of banking from brick-and-mortar institutions recognized by the RBI. Furthermore, seeing 7 that neo banking in India is basically a new idea, even for the tech-savvy populace to complete ly switch over to the neobanks appears quite bleak.

With the listing of neobanks in India growing in wide variety, it could be said that neobanks have a vivid future in the country. However, to defeat the traditional banking system, neobanks should introduce policies, products, and services that cater to wider audiences and not predominantly the youth of India. Since neobanks are majorly era-primarily based, their recognition has been hovering because of their better utilization of Artificial Intelligence and a plethora of personalized services that the traditional banking gadget nevertheless lacks. However, in relation to the customers understanding their banking personnel through face-to-face interaction, conventional banks experience supremacy over their digital opposite numbers.

1.37 PESTEL Analysis: Awareness of Neo Banks Among Salaried Millennials :

1. Political Factors

The Indian government has been promoting digital banking through schemes like Digital India and Startup India. These efforts help spread awareness about online financial services, including neo banks.

However, neo banks are not directly regulated by the Reserve Bank of India (RBI). This means they have to partner with licensed banks to offer services. For many salaried millennials, this lack of clear regulation might raise concerns about safety and trust. They may hesitate to try out a platform that isn't fully recognized as a "real bank" in the traditional sense.

2. Economic Factors

Salaried millennials make up a big part of the Indian workforce. Most of them are educated, earn a steady income, and are comfortable using digital tools. This makes them the ideal audience for neo banks. Since neo banks offer lower fees, better interest rates, and faster services, they are a cost-saving option for young professionals who are just starting to manage their finances. Also, with the rise in urbanization and disposable income, more millennials are open to exploring modern financial services. However, if they don't know enough about neo banks, they might stick to traditional banks simply out of habit or trust.

3. Social Factors

Millennials are known for being tech-savvy, and they expect services to be fast, simple, and available online. Neo banks fit perfectly into this lifestyle. They allow users to open an account in minutes, manage finances from their phone, and even track spending through apps. But even though the concept is appealing, awareness is still limited. Some people don't fully understand how neo banks work, or they worry about security since these banks don't have physical branches. Peer influence, social media promotions, and good online reviews can make a big difference in increasing awareness and encouraging others to try it.

4. Technological Factors

Technology is what drives neo banks. Thanks to smartphones and the internet, banking has become more accessible than ever. Millennials who

already use mobile wallets and digital payment apps are more likely to be comfortable using neo banks. These banks also use features like **AI-based spending analysis**, instant notifications, and smart savings tools that appeal to the younger generation. The more innovative and easy-to-use the technology, the more likely it is that salaried millennials will become aware of and start using these services.

5. Environmental Factors

Many millennials today are environmentally conscious and prefer businesses that support sustainability. Neo banks don't use paper forms, physical branches, or printed statements. Everything is done online—from opening accounts to customer support. This digital-only model helps reduce the use of paper and energy, which is better for the environment. Promoting this eco-friendly aspect can help attract attention and increase awareness, especially among younger users who care about climate change and sustainability.

6. Legal Factors

Since neo banks are not directly licensed by the RBI, they operate under a partner bank's license. This legal structure can be confusing for new users. Millennials may wonder if their money is safe, or if customer service will be reliable in case of problems. Also, with the rise in cybercrimes, people want to be sure that their personal data is protected. India's new Digital Personal Data Protection Act (DPDP Act, 2023) is important here. If neo banks clearly follow data protection laws and maintain transparency, it can help build trust and make people more aware of the safety and benefits of using such platforms.

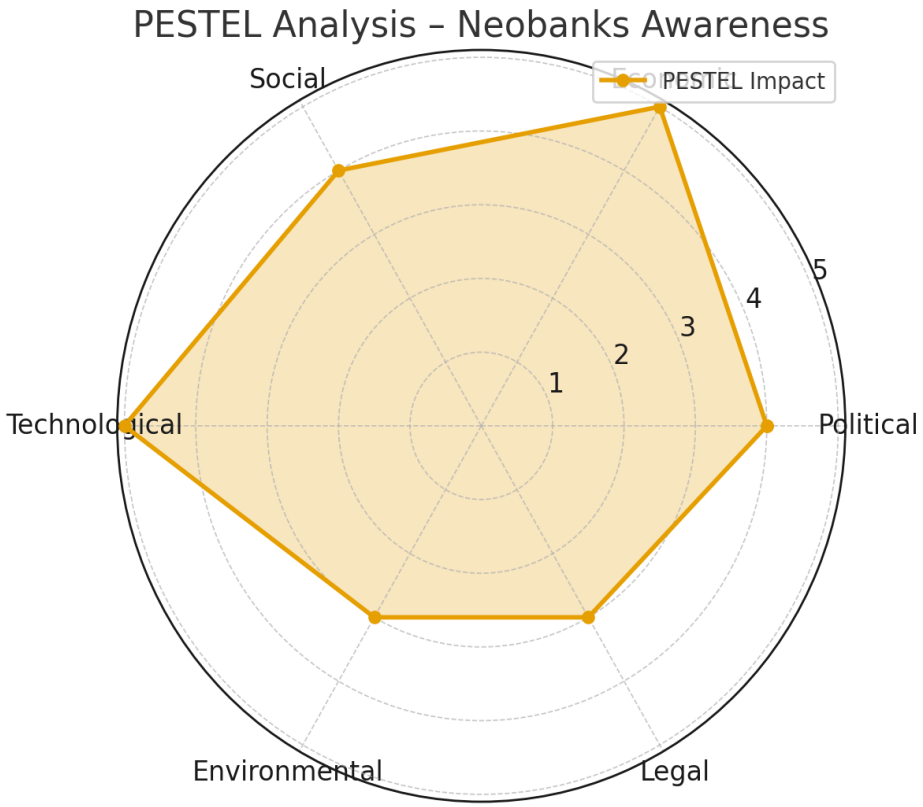


FIGURE 6 PESTEL ANALYSIS

1.38 Porter's Five Forces Analysis on Awareness of Neo-Banks Among Salaried Millennials :

To understand the factors influencing the awareness of neo-banks among salaried millennials, Porter's Five Forces framework provides a strategic perspective on the competitive landscape and the market dynamics that shape this awareness.

1. Threat of New Entrants

The rise of neo-banks is driven by digital technology, which lowers the traditional entry barriers that banks usually face. Unlike conventional banks, neo-banks do not require physical branches or extensive

infrastructure, making it relatively easy for new players to enter the market. However, while launching a neo-bank might be technologically feasible, creating brand awareness among salaried millennials is a much more complex and costly process. Since millennials are digitally literate and exposed to numerous digital services, gaining their trust and attention requires significant investment in digital marketing, influencer campaigns, and customer education.

Implication: Although the entry into the neo-banking sector is technically easy, the cost and effort involved in building meaningful awareness and trust among the target audience can deter potential entrants.

2. Bargaining Power of Suppliers

Neo-banks often rely on collaborations with licensed traditional banks to provide core banking services, since they are not directly regulated by the Reserve Bank of India (RBI). They also depend heavily on digital infrastructure such as UPI, API platforms, and cloud services to operate. In terms of awareness, the suppliers of digital advertising (like Google, Meta) and app store platforms play a significant role in how effectively a neo-bank can promote itself.

Implication: The dependence on licensed banking partners and digital platforms gives these suppliers a moderate level of power. Neo-banks must manage these partnerships strategically to maintain cost efficiency and ensure their awareness campaigns are effective.

3. Bargaining Power of Buyers

Salaried millennials represent a tech-savvy and financially aware segment. Their expectations from a banking service are high—they look

for seamless user interfaces, low or zero charges, quick support, and personalized financial insights. Since most neo-banks offer similar features, this demographic often compares multiple platforms before choosing one. Moreover, switching costs are minimal; millennials can easily shift from one app to another based on perceived value or service quality.

Implication: Millennials hold significant bargaining power. Their awareness and adoption decisions are shaped by perceived benefits, peer recommendations, ease of use, and digital presence. Neo-banks must communicate value clearly and consistently to stay relevant.

4. Threat of Substitutes

Neo-banks not only face competition from each other but also from traditional banks that are now upgrading their mobile banking platforms. Additionally, digital wallets and UPI-based apps like Paytm, PhonePe, and Google Pay offer financial transaction services that many millennials already use and trust. These platforms, though not offering full-fledged banking, serve similar purposes in everyday financial management.

Implication: The availability of strong substitutes means that neo-banks need to do more than just offer digital services. To raise awareness and drive preference, they must differentiate through added features like financial planning tools, credit score monitoring, goal-based saving options, and better customer engagement.

5. Industry Rivalry

The neo-banking sector is witnessing intense competition, especially in urban India. Players like Jupiter, Fi Money, Niyo, and others are

targeting the same user base with similar offerings—zero-balance accounts, cashback offers, smart analytics, and more. This has led to a cluttered marketing environment where awareness is driven by aggressive advertising, referral programs, and influencer promotions.

Implication: With many players offering comparable services and targeting the same demographic, the rivalry is intense. For a neo-bank to stand out and be recognized by salaried millennials, it must invest in differentiated positioning and strong branding strategies.

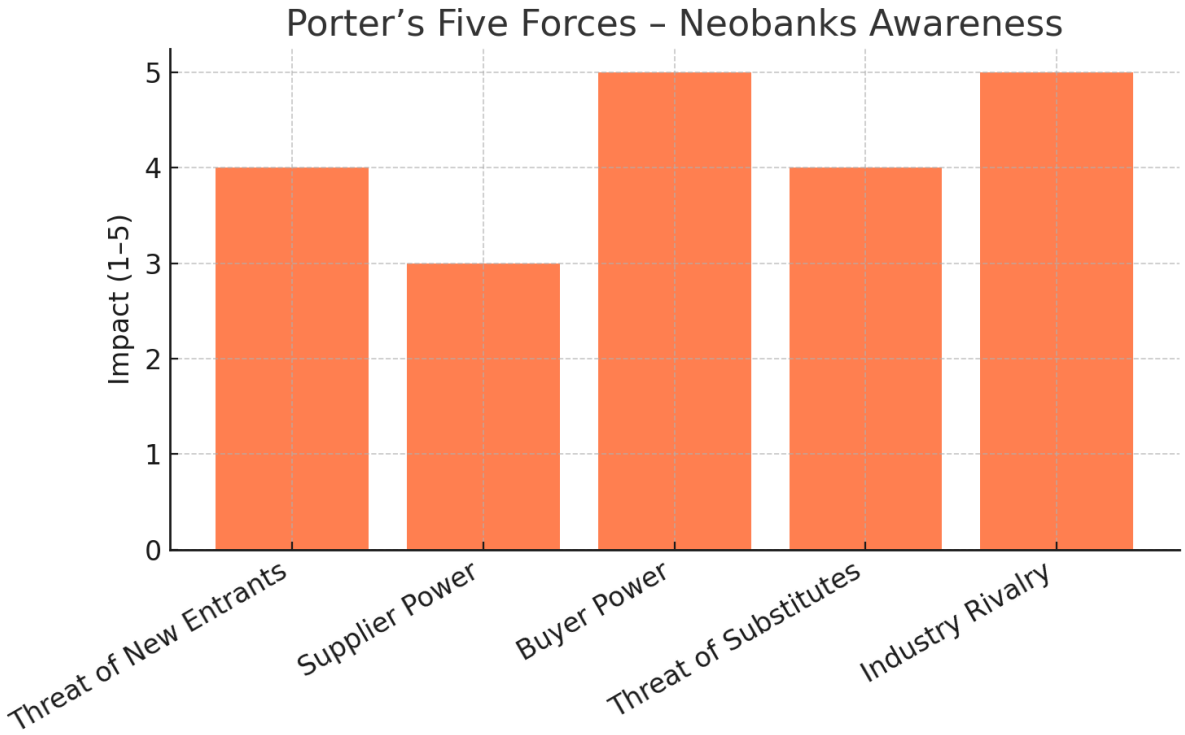


FIGURE 7 PORTER FIVE FORCE ANALYSIS

1.39 OT Analysis: Awareness of Neo-Banks Among Salaried Millennials :

The OT (Opportunities and Threats) analysis focuses on the external factors that influence the awareness and adoption of neo-banking services among salaried millennials in India. These factors are crucial for

understanding how neo-banks can grow their user base and what challenges they face in doing so.

Opportunities :

1. **Growing Digital Adoption Among Millennials**
   Salaried millennials are highly comfortable with digital platforms and mobile applications. The increasing penetration of smartphones, affordable internet, and UPI-based transactions creates a favorable environment for neo-banks to grow their presence and awareness.

2. **Shift Toward Cashless and Contactless Transactions**
   With the rise in online payments and preference for cashless modes of banking, especially post-pandemic, neo-banks have the opportunity to position themselves as the default choice for digital-native financial services.

3. **Rise of Fintech Culture and Start-up Ecosystems**
   India's vibrant fintech ecosystem and government support for digital innovation (e.g., India Stack, UPI, Aadhaar e-KYC) provide a conducive environment for neo-banks to expand and promote their services to young professionals.

4. **Scope for Financial Literacy and Inclusion**
   Many salaried millennials still lack in-depth financial literacy. Neo-banks have the opportunity to bridge this gap by offering user-friendly tools, educational content, and personalized financial insights—thus increasing awareness while also building trust.

5. **Strategic Employer Partnerships**
   Neo-banks can tie up with organizations to offer digital salary accounts, employee financial wellness programs, or early salary features—directly increasing their visibility among salaried millennials.

Threats:

1. **Lack of Direct Regulation and Consumer Trust**
   Neo-banks in India are not directly regulated by the Reserve Bank of India (RBI), and this lack of formal oversight can affect customer confidence. Many millennials remain cautious due to concerns over safety, privacy, and dispute redressal.

2. **Intense Competition from Traditional Banks and Fintech Apps**
   Established banks are improving their digital services, while fintech apps like Paytm, PhonePe, and Google Pay are expanding into banking features. This creates intense competition, making it difficult for neo-banks to gain distinct awareness and loyalty.

3. **Low Brand Recognition in Tier 2 and Tier 3 Cities**
   While urban millennials may be more aware of neo-banks, there is still limited brand recognition in smaller cities and towns, which can limit national scalability and long-term growth.

4. **Digital Fatigue and Overlap of Services**
   With numerous apps offering similar financial services, many millennials experience digital fatigue. Without a clear differentiation strategy, neo-banks risk being overlooked or confused with other fintech players.

5. **Cybersecurity and Data Privacy Concern**
   Growing concerns around digital fraud, data leaks, and phishing attacks have made users more cautious about adopting lesser-known digital platforms, especially for handling their money. This can negatively impact awareness and adoption rates.

CHAPTER 2 : LITERATURE REVIEW

Cuauhtemoc Daniel Puente-Cavazos,et.all(2025) , A Titled "The impact of perceived financial security in neobanks on customer retention and the cost of switching to a traditional bank: the mediating role of trust in neobanks" Founded that Puente-Cavazos et al. (2025) investigated the influence of perceived financial security in neobank applicatiAons on customer trust, retention, and the cost of switching to traditional banks, utilizing the Stimulus-Response (S-R) and Stimulus-Organism-Response (S-O-R) theoretical frameworks. The study found that perceived financial security—defined through ease of payment and platform security—positively affects customer trust and retention. However, it does not directly impact switching costs unless mediated by trust. Trust acts as a critical cognitive factor, enhancing customer commitment and serving as a barrier to switching. These findings emphasize the importance of developing secure, user-friendly digital platforms and fostering customer trust to sustain growth and competitiveness in the neobanking sector.

Ms. Ruhani Sohal,et.all (2025), A Titled "Neo-Banking As A Tool Of Financial Inclusion"**,** Founded that Sohal et al. (2025) examine neo-banking as a catalyst for financial inclusion in India, highlighting its role in improving digital financial literacy through AI-powered tools and user-friendly platforms. Neo-banks offer accessible, low-cost services that appeal especially to younger, tech-savvy users. However, adoption faces barriers such as cybersecurity threats, regulatory uncertainty, and low trust among rural and older populations. The study emphasizes that smartphone penetration, UPI integration, and supportive policies have fueled growth. For sustainable impact, neo-banks must strengthen regulatory frameworks, build trust, and ensure secure digital infrastructure."

Dr. S Mobasheer,(2025), A Titled "Customer Perception and Service Quality - A Comparative Study Among Traditional and Neo Banks" Founded that Mobasheer (2025) investigates consumer perception and

service quality in traditional versus neo banks, identifying a statistically significant edge in overall perception favoring neo banks. The study reveals that neo banks outperform in dimensions such as convenience and innovation, while traditional banks maintain superiority in assurance and responsiveness. Despite technological advantages, neo banks continue to face trust-related challenges due to their digital-only nature and limited regulatory autonomy. Notably, both bank types scored low in empathy, suggesting a shared need for more personalized service. The findings underscore that while service quality is largely comparable, strategic improvements in trust-building and customer engagement are essential for neo banks to sustain long-term competitiveness.

Nitin Somnath Rokade (2025) , A Titled "Digital Transformation in India's Banking Industry" Founded that Recent studies have shed light on how digital banking is transforming India's financial sector. Rokade (2025) emphasizes that smartphone growth, internet access, and initiatives like "Digital India" have accelerated this shift. In earlier study Sharma et al. (2022) observed that while public sector banks benefit from improved efficiency, they still face challenges like cybersecurity and customer adaptation. Jeevitha and Viji (2022) highlight the uneven adoption of digital banking in rural areas, pointing to gaps in infrastructure and awareness. Earlier studies by Goda (2018), Singh (2018), and Dara (2017) reinforce that digitalization is reshaping customer experiences, but stress the need for inclusive and secure implementation. Together, these findings underline the importance of managing risks while embracing innovation in banking.

Lokeshwari DV, et.all (2025) A Titled "Impact of FinTech on Traditional Banking Models: A Literature-Based Analysis" Founded that Lokeshwari et al. (2025) explore how FinTech innovations are reshaping traditional banking, emphasizing a shift toward hybrid financial models. Their review highlights the role of technologies like mobile banking, robo-advisors, blockchain, and UPI in enhancing accessibility, efficiency, and

customer experience. While FinTech poses competitive challenges, the authors argue that collaboration—rather than disruption—is the prevailing trend. The study also emphasizes that financial inclusion and innovation are not mutually exclusive, especially in emerging markets like India. Their work suggests that the future lies in strategic partnerships blending trust, regulation, and technological agility.

Dr. P MOHAN , et.all(2025) , A Titled "A DIGITAL TRANSFORMATION : IMPACT OF TECHNOLOGY IN BANKING AND FINANCIAL SERVICES INDUSTRY" , Founded that In *"A Digital Transformation: Impact of Technology in Banking and Financial Services Industry"*, Mohan and Rangaswany (2025) explore how emerging technologies such as AI, cloud computing, IoT, and big data are reshaping the financial sector in India. The study highlights the rapid rise of fintech startups and the evolution of banking models like "banking as a service" and neo-banks. It emphasizes improved customer experience, operational efficiency, and deeper financial inclusion, while acknowledging challenges like regulatory uncertainty and cybersecurity. Notably, the paper outlines how fintech is transforming not only banking, but also insurance, asset management, and investment services. The authors conclude that digital innovation is central to the future of inclusive, customer-centric finance.

Amir Shrestha (2025) , A Titled "CUSTOMER EXPERIENCE TOWARDS DIGITAL BANKING" Founded that Shrestha (2025) reviews how digital banking has transformed customer experiences, emphasizing convenience, speed, and system usability. Varalakshmi and Katta (2024) highlight the role of mobile apps and artificial intelligence in improving customer service delivery. The Technology Acceptance Model (Davis, 1989) and the Unified Theory of Acceptance and Use of Technology (Venkatesh et al., 2003) are used to explain user behavior and technology adoption. According to Chu and Zhan (2024), key factors such as ease of use, service quality, and responsiveness directly influence satisfaction levels. Kaur et al. (2021) further note that while customers value efficiency, concerns about trust and data privacy persist. These insights

underscore the need for digital platforms to remain both innovative and customer-focused.

Leon Aßmann(2024),A Titled, " Neobanks, Generation Z and the Transformation of Banking" Found that Recent literature identifies Generation Z as a major force behind the growth of neobanks, largely due to their digital fluency, openness to innovation, and demand for user-friendly, transparent banking services. Aßmann (2024) finds that Gen Z users value personalization, ethical practices, and immediate digital access—pushing neobanks to continuously evolve. Despite their popularity, challenges like trust-building, regulatory clarity, and market saturation remain key concerns. Experts also emphasize that neobanks must differentiate through innovation and customer engagement to retain this demanding demographic.

P. Nithyakirrthy,et.all(2024), A Titled "Dimensions of Risk in the Effect of Customers' Awareness and Knowledge on the Readiness to adopt Neobanks" Found that Recent literature highlights that while neo-banks are gaining attention for their digital-first services, overall consumer awareness remains low. The study by Nithyakirrthy et al. (2024) reveals that many users are familiar with digital banking but unaware of the term "neo-bank" itself. Their findings suggest that awareness and social risk significantly influence users' knowledge, which in turn affects readiness to adopt neo-banks. Interestingly, financial and security risks were found to have no major impact. The authors emphasize that increasing public awareness through media and education is key to wider adoption in the future.

Puneett Bhatnagr , et.all (2024) , A Titled " Impact of Online Reputation on Neobank Adoption during COVID-19" Founded that Recent research highlights that online reputation—especially reviews and ratings—has a significant influence on the adoption of neobanks in India. Bhatnagr et al. (2024) applied the UTAUT-3 model and found that factors like performance expectancy, effort expectancy, and personal innovativeness

strongly impact users' intention to adopt neobanking services. The study emphasizes that digital trust built through positive online feedback is essential for influencing millennial behavior. It also suggests that clear branding, user experience, and credible online presence are critical for neobanks to gain wider acceptance. These insights are particularly relevant in the post-COVID digital banking era.

Ashis Kashyap(2024), A Titled "THE EMERGENCE AND IMPACT OF NEO BANKS: A COMPREHENSIVE REVIEW" Founded that Ashis Kashyap provides a deep dive into the rise of neo-banks, highlighting their role as digital disruptors in the modern banking world. It explains how these fintech-driven platforms are reshaping financial services with features like easy access, user-friendly interfaces, and lower operating costs. Neo-banks are particularly appealing due to their personalized services and innovative technology. However, they still face major hurdles, including regulatory issues and profit sustainability. Their impact on traditional banking is significant, pushing legacy banks to modernize and improve customer-centric strategies. The literature concludes that neo-banks hold strong future potential if they can adapt and innovate continually.

Riris Shanti , et.all(2024), A Titled "Revolutionizing Banking: Neobanks' Digital Transformation for Enhanced Efficiency", Founded that Shanti et al. (2024) investigate the role of digital transformation in enhancing the efficiency of neobanks, using Stochastic Frontier Analysis (SFA) and Panel ARDL models. The study finds that while digital transformation initially reduces efficiency due to high implementation costs, it significantly improves long-term profit efficiency. The results confirm a U-shaped relationship between digital transformation and efficiency, with efficiency increasing as digital systems mature. Capital adequacy, liquidity, and economic growth also emerge as significant determinants of efficiency. These findings underscore the need for strategic digital investment planning to optimize neobank performance over time.

Shilpa Taneja, et.all (2024), A Titled "Leveraging digital payment adoption experience to advance the development of digital-only (Neo) banks: Role of trust, risk, security, and green concern" Founded that Taneja et al. (2024) present a comprehensive behavioural model exploring how prior digital payment experience influences the adoption of digital-only (neo) banks, particularly in emerging economies. Drawing on UTAUT2 and integrating constructs like trust, risk, perceived security, and green concern, the study reveals that behavioural intention is driven by both technological and sustainability-related perceptions. Trust emerges as the strongest predictor, while perceived risk negatively impacts adoption. The inclusion of green concern as a novel construct highlights rising consumer sensitivity to environmental sustainability. The findings offer critical insights for neo-bank adoption strategies that combine user-friendliness, security, and eco-conscious communication.

Gerandi Matraku (2024), A Titled "Neobank Adoption and Satisfaction: Insights from University Students" Founded that Matraku (2024) investigates neobank adoption and satisfaction among university students, emphasizing the roles of nationality and financial literacy. The study reveals that international students report significantly higher satisfaction with neobank services compared to their German peers, likely due to their demand for global financial access. While financial literacy showed a positive correlation with satisfaction, it did not reach statistical significance. The research underscores how cultural and experiential differences outweigh demographic factors like age or gender. These findings offer valuable insights for tailoring neobanking services to diverse academic populations and enhancing customer-centric strategies.

KARINA KAPLIAR , et.all(2024), A Titled "Risks of the Neobanks' Activities in the Conditions of the Economy Digitalization" , Founded that Kapliar, et.all (2024) highlight that neobanks have emerged as a result of rapid digitalization and the transformation of traditional banking models. Their entirely digital operations offer customer-centric services

but expose them to distinct risks such as cyber threats, regulatory challenges, and dependency on fintech partners. The authors argue that effective risk management is essential, especially since technological vulnerabilities can undermine customer trust. Their study introduces a parametric model to evaluate neobank-specific risks and suggests that, with adequate safeguards, neobanks could rival traditional banks in safety and efficiency. This evolving landscape calls for continuous assessment of risks as digital finance advances.

Puneett Bhatnagr , et.all(2024) A Titled "Neobanking adoption – An integrated UTAUT-3, perceived risk and recommendation model" Founded that Bhatnagr and Rajesh (2024) explored the adoption of neobanking services in India by integrating the UTAUT-3 model with perceived risk theory, addressing a significant gap in digital banking literature. While earlier studies (e.g., Venkatesh et al., 2003; Venkatesh & Xu, 2012) applied models like UTAUT and UTAUT-2 in internet and mobile banking, the application of UTAUT-3 in the neobanking context remains limited. Their study emphasized constructs such as performance expectancy, effort expectancy, and personal innovativeness as critical predictors of user behavior. Additionally, perceived risks—financial, privacy, and performance—were found to substantially influence behavioral intention and adoption. This integrated model offers a comprehensive framework for understanding neobanking usage in emerging markets like India.

Szabolcs Nagy , et.all(2024) , A Titled "Customer Adoption of Neobank Services from a Technology Acceptance Perspective – Evidence from Hungary" Founded that Nagy, Molnár, and Papp (2024) investigate the adoption of neobank services in Hungary through an extended Technology Acceptance Model (TAM) that includes trust as a key determinant. Their study finds that while perceived ease of use influences perceived usefulness, it is trust and perceived usefulness that significantly shape users' attitudes. Attitude, in turn, strongly predicts the intention to use neobank services, acting as a full mediator.

Interestingly, neither trust nor perceived usefulness directly impacts behavioral intention. These insights underscore the importance of building trust and highlighting service benefits to drive adoption in emerging digital banking markets.

Puneett Bhatnagr, et.all (2024), A Titled "Understanding critical service factors in neobanks: crafting strategies through text mining" Founded that Puneett Bhatnagr, et.all conducted an extensive text mining analysis of over 330,000 Google Play Store reviews to uncover the critical factors influencing user satisfaction with neobank apps. Their study identified core service dimensions including app performance, user interface, efficiency, personalization, transparency, and security. Users consistently appreciated fast, intuitive, and user-friendly experiences, while issues like technical glitches, poor responsiveness, and lack of clarity in communication reduced trust. The findings emphasize that maintaining transaction reliability and adapting services to diverse user needs are essential. Overall, the study offers a valuable blueprint for enhancing digital banking experiences through customer-driven insights.

Andrei PASLARI , et.all(2024) , A Titled "THE NEOBANKS: FINANCIAL INCLUSION AND DIGITAL INNOVATION" Founded that In *"The Neobanks: Financial Inclusion and Digital Innovation"*, Paslari and Cobzari (2024) investigate how neobanks are reshaping global finance by enhancing accessibility and affordability, especially for underserved populations. Using an econometric model across 34 countries, the authors show that economic freedom, innovation, and digital adoption significantly boost financial inclusion. The study highlights how neobanks leverage AI, blockchain, and open banking to offer low-cost, seamless financial services. Despite challenges like regulatory compliance, data security, and profitability concerns, neobanks remain critical to narrowing the financial access gap. The paper emphasizes the need for supportive regulation and infrastructure to sustain neobanking growth.

Abhishek Agarwal(2024),A Titled "Digital Payments and Their Impact on The Indian Economy" Founded that In *"Digital Payments and Their Impact on The Indian Economy"*, Agarwal (n.d.) explores the transformative effects of digital payment systems on India's financial landscape. The study highlights how platforms like UPI, mobile wallets, and internet banking have accelerated financial inclusion, increased transaction transparency, and supported formalization of the economy. It also notes challenges such as cybersecurity, digital literacy, and rural connectivity gaps. Agarwal emphasizes the role of government initiatives and fintech collaboration in driving adoption. Overall, the dissertation presents digital payments as a catalyst for economic modernization and inclusive growth in India.

Citra Nur Diana , et.all (2024), A Titled "Level of Trust in Digital Banking Acceptance: Technology Acceptance Model Study and Enjoyment Perspective" , Founded that Diana et al. (2022) emphasize the growing importance of trust, security, and user experience in shaping the adoption of digital financial services. Gomber et al. (2018) highlight how fintech firms leverage agility and innovation to respond faster to consumer needs than traditional banks. Puschmann (2017) identifies fintech as a transformative force, reshaping financial services through digital-first models. Lee and Shin (2018) stress that users' trust in fintech is driven by technological transparency and platform reliability. Ziegler et al. (2021) observe that Generation Z, in particular, values speed, personalization, and ethical branding. Together, these perspectives reveal a clear shift in user expectations toward digital convenience and emotionally resonant service.

Puneett Bhatnagr , et.all (2024) , A Titled "A Study on Indian Digital Banking Online Customer Experience" Founded that Puneet Bhatnagar and Anupama Rajesh (2024) investigate the evolving role of online customer experience (OCE) in shaping user behavior within India's digital banking sector. Their review emphasizes that positive OCE significantly influences customer loyalty, satisfaction, and financial

performance. Drawing from prior studies, they highlight factors such as website usability, personalization, trust, and perceived value as central to customer engagement. The authors also note gaps in existing literature, particularly around demographic influences like age and behavioral intent. Their research lays the groundwork for more user-centric digital banking strategies tailored to India's dynamic market.

S. Vigneshwar (2024), A Titled "Impact of Fintech Companies in the Indian Banking Sector- A Study" , Founded that S. Vigneshwar (2024) explores the transformative impact of fintech companies on the Indian banking sector, particularly in the post-2008 era. The study highlights how technologies like AI, blockchain, and UPI platforms have disrupted traditional banking by improving accessibility, convenience, and customer autonomy. Vigneshwar emphasizes that while fintech adoption is rising, customer trust still leans toward traditional banks unless fintechs match their credibility. The literature also reflects that users are open to switching if fintechs offer better services and security. This evolution signals a shift toward a more dynamic and customer-centric financial ecosystem in India.

Nitin Garg ,et.all(2024) , A Titled "Evaluating the success of Neo Bank using DeLone and McLean model"conducted a comprehensive review on the success factors of Neo Banks using the DeLone and McLean (D&M) Information System Success Model (2003), which evaluates system quality, information quality, service quality, use, user satisfaction, and net benefits. Neo Banks, also known as virtual or digital-only banks, operate entirely online without physical branches and are recognized for providing fast, transparent, and user-friendly financial services such as zero transfer fees, instant loans, and high-interest savings. Studies highlight that while these banks offer convenience and efficiency, adoption remains limited due to low awareness, lack of technological fluency, and security concerns. The review integrates insights from multiple studies showing that system quality reflects ease of use and reliability, information quality ensures accuracy and timeliness of

financial data, and service quality represents responsiveness and technical support—all of which significantly influence user satisfaction and continued use. Prior research across e-banking and digital finance domains confirms that user satisfaction and consistent system usage act as key mediators leading to higher perceived net benefits like cost savings, time efficiency, and enhanced trust. Overall, the literature establishes that the success of Neo Banks depends not only on their technological infrastructure but also on the perceived quality of information and services, user confidence, and satisfaction, which together determine the long-term acceptance and effectiveness of digital banking systems.

Valeriia Melnyk,(2023),A Titled "Transforming the nature of trust between banks and young clients: from traditional to digital banking" Founded that Melnyk (2023) investigates the transformation of trust dynamics between banks and young clients (aged 18–35) amid the shift from traditional to digital banking. Drawing on institution-based and social network-based trust theories, the study finds that digitalization has mitigated traditional trust barriers, especially for younger demographics. Social approval, facilitated through referrals, ease of use, and digital interfaces, emerges as a key determinant of trust in neobanking environments. The research highlights the transition from formal institutional assurances to socially driven trust mechanisms. This shift underscores the evolving role of digital platforms in shaping consumer-bank relationships.

Jahanvi Sharma , et.all(2023), A Titled "Neo-banking challenges and expansion in future", Founded that Sharma and Patil (2023) explore the transformative impact of neo-banks in India's fintech landscape, emphasizing their fully digital operations and focus on customer-centric innovation. Unlike traditional banks, neo-banks leverage technologies such as AI and API integration to serve tech-savvy users and underserved sectors like MSMEs. The study highlights the advantages of lower costs, seamless onboarding, and value-added services. However, it also outlines

challenges including regulatory ambiguity, security concerns, and dependency on partner banks. The authors conclude that while neo-banking faces structural hurdles, it holds significant potential in India's evolving digital ecosystem.

Sneh Saxena , et.all (2023) A Titled "Revolutionizing Finance: Navigating the AXIS of Digital Banking in India" Founded that Saxena, Joshi, and Vidani (2023) delve into the transformative journey of Axis Bank's digital evolution, emphasizing how digitization is reshaping banking operations in India. Their study outlines how digital initiatives like Axis 2.0 have improved customer experience, reduced operational costs, and accelerated financial inclusion. The authors highlight the strategic use of AI, analytics, and mobile technologies in enhancing service delivery. The paper also stresses the shift from traditional banking models toward ecosystem-driven, tech-first approaches. This work contributes significantly to the growing discourse on digital banking's role in modernizing India's financial landscape.

Dona James , et.all (2023) , A Titled "THE EVOLUTION OF NEO-BANKING IN INDIA- A STUDY ON GROWTH AND CHALLENGES" Founded that James and Ghosh (2023) explore the emergence of neo-banks in India, emphasizing their technology-driven approach and appeal to digitally savvy customers. Their study highlights that neo-banks offer a seamless, app-based experience without physical branches, meeting the growing demand for convenience and customization. By leveraging AI, automation, and user-friendly interfaces, neo-banks are addressing service gaps in traditional banking. However, the authors also acknowledge key challenges, such as regulatory uncertainties, cybersecurity threats, and limited public awareness. Despite these hurdles, the growth of digital infrastructure and mobile usage positions neo-banking as a promising force in India's evolving financial landscape.

Somnath Sardar,et.all(2023), A Titled "THE FUTURE OF BANKING: HOW NEO BANKS ARE CHANGING THE INDUSTRY", Founded that In their insightful study, Sardar and Anjaria (2023) examine the rise of neo banks in India and how they're reshaping the financial landscape with technology-driven, customer-centric services. The study highlights that features like easy account setup, budgeting tools, and seamless mobile payments are key drivers of customer satisfaction. While regulatory ambiguity and trust issues remain challenges, neo banks continue to gain traction—especially among younger demographics. Their ability to offer tailored products and an enhanced digital experience presents strong opportunities, even as traditional banks remain dominant. The authors conclude that both banking models are likely to coexist to meet diverse consumer needs.

Adithya A , et.all (2023), A Titled "A study on the influence of E-banking service quality on millennials: Evidence from Indian banking sector" Founded that Adithya et al. (2023) explore how millennials perceive and adopt e-banking services, emphasizing the crucial role of trust, perceived risk, and technological ease. Tan and Leby Lau (2016) are cited for identifying performance expectancy, effort expectancy, and social influence as major predictors of mobile banking adoption. Thusi and Maduku (2020) contribute by showing how institutional-based trust helps mitigate perceived risks in digital banking. Bailey et al. (2019) reveal that concerns over tap-and-go payment systems still influence millennial trust negatively. Boonsiritomachai and Pitchayadejanant (2017) highlight that hedonic motivation drives engagement, although security concerns persist. Through this synthesis, Adithya et al. position trust and contextual risk as core dimensions in understanding millennial banking behavior.

Nhat Minh Duong (2023) , A Titled "CONCEPTUAL MODEL ON CONSUMER'S FINTECH ADOPTION: THE CASE OF NEOBANK" Founded that Nhat Minh Duong (2022) examines how various psychological and technological factors influence consumer adoption of neobanks.

Laukkanen (2016) is referenced for identifying trust, ease of use, and perceived usefulness as core elements in digital banking decisions. Pousttchi and Dehnert (2018) argue that users' readiness and openness to innovation are critical in adopting fintech platforms. Yap et al. (2010) highlight the importance of digital trust and intuitive user experience in sustaining consumer loyalty. Cortet et al. (2016) emphasize how regulatory frameworks like PSD2 have enabled fintech growth and competitive disruption. Collectively, these perspectives support Duong's model, which places trust and perceived value at the center of fintech adoption behavior.

Mr.Vedant Prakash , et.all(2023), A Titled "Digital-Only Banks: A Bibliometric Analysis of an Emerging FinTech Domain (1997–2025)" Founded that Vedant Prakash and Dr. Danish Hussain (2023) offer a bibliometric review of the digital-only banking landscape, illustrating a sharp rise in academic focus since 2017. Their study identifies recurring themes such as technological innovation, customer experience, financial inclusion, and regulatory concerns. The authors highlight Europe and Asia as leading regions in scholarly output, reflecting a global shift in banking paradigms. Despite the digital-only model's growing relevance, the literature reveals gaps in empirical research and real-world applicability. Prakash and Hussain call for deeper, practice-oriented studies to understand adoption patterns and long-term viability.

Thankom Arun , et.all (2023) , A Titled "Impact of Neo-banks (Digital Banks): India–UK Comparison" Founded that Thankom Arun and colleagues (2023) examine the rise of neo-banks in India and the UK, highlighting their disruptive influence on traditional banking models through digital innovation. The study reveals how neo-banks leverage AI and mobile-first strategies to enhance customer access and personalized financial services. With nearly 36 neo-banks emerging in India alone, the authors note growing consumer adoption amid regulatory and cybersecurity concerns. Their comparative approach underscores the differences in digital infrastructure and user confidence across the two

countries. Overall, the paper advocates for stronger regulatory frameworks to support the sustainable growth of digital banking ecosystems.

Dr.A.Shaji George (2023), A Titled "Securing the Future of Finance: How AI, Blockchain, and Machine Learning Safeguard Emerging Neobank Technology Against Evolving Cyber Threats" Founded that Recent research emphasizes that while neobanks offer fast and flexible digital banking, they are highly vulnerable to evolving cyber threats. Dr. George (2023) explores how technologies like artificial intelligence, blockchain, and machine learning can strengthen neobank security through fraud detection, data transparency, and real-time risk monitoring. The paper highlights how blockchain ensures tamper-proof data, AI flags suspicious activity, and machine learning adapts to new attack patterns. However, overreliance on automation can pose risks such as algorithmic bias and reduced human oversight. A combined, multi-layered approach is seen as essential for future resilience and customer trust.

Victor Lindström ,et.all(2023) , A Titled "The sudden rise of neobanks and the threat it poses upon the traditional banking system." Founded that Lindström and Nilsson (2023) explore the rapid emergence of neobanks and their evolving role in the financial services industry. Their study highlights how neobanks offer fully digital, low-cost, and user-centric services, differentiating themselves through innovation and speed. While traditional banks retain dominance due to customer trust, physical presence, and regulatory advantages, neobanks are gaining traction, especially among tech-savvy users. However, challenges such as cybersecurity threats, regulatory complexity, and lack of customer loyalty remain significant. The study concludes that neobanks may not yet replace traditional banks but serve as complementary forces or potential partners in a transforming banking ecosystem.

Ms. Priya Raman,et.all(2022),A Titled "NEO BANKS: FUTURE OF INDIAN BANKING SYSTEM" Founded that In *"Neo Banks: Future of Indian Banking System"*, Raman and Tiwary (2022) explore how neo banks are redefining the financial services landscape in India through technology-driven models. The study outlines their platform-centric structure, reliance on AI and IT, and cost-effective operations compared to traditional banks. Despite regulatory constraints and the lack of face-to-face interaction, neo banks have identified and addressed key service gaps in conventional banking. The authors highlight their rapid service delivery, especially for MSMEs, and their appeal in a digitally evolving economy. The paper concludes that neo banks, though still evolving, represent a promising and necessary shift in the Indian banking ecosystem.

Gloria Nocera (2022) , A Titled "Fintech Revolution and Traditional Banks: What Factors influence Members of Generation Z to place their Trust in Fintech Companies, specifically Neobanks, over Traditional Banks as Banking and Financial Service Providers?" Founded that Gloria Nocera (2022) reviews how the fintech revolution is reshaping the financial sector, especially for younger generations. Puschmann (2017) is cited to describe fintech as a disruptive force offering innovative, digital-first solutions that challenge traditional banking models. Gomber et al. (2018) are referenced for their view that speed, transparency, and convenience drive fintech's appeal among digital natives. Lee and Shin (2018) emphasize that trust in fintech depends on perceived platform security and ease of use. Ziegler et al. (2021) highlight Generation Z's preference for personalization and digital design over legacy banking reputations. Through this review, Nocera illustrates how neobanks like Yuh align closely with the values and expectations of Gen Z consumers.

Arushi Agrawal , et.all (2022) , A Titled ""A perception study of Neo banking as a Fintech Revolution" Founded that Agrawal and Yesugade

(2022) explore the growing influence of neo banking in India, highlighting its role as a fully digital alternative to traditional banking. Omarini (2018) is referenced for framing open banking as a strategic shift toward Banking-as-a-Platform, where fintech partnerships redefine customer engagement. Nayak (2018) focuses on digitalization challenges in rural areas, underlining the need for inclusive fintech growth. McKinsey & Company (2015) provide evidence of increasing consumer demand for mobile and internet banking across Asia. The RBI (2020) emphasizes that initiatives like BBPS and TReDS are accelerating digital adoption. Together, these studies support the view that neo banking is not just a technological upgrade but a reimagining of financial accessibility.

Mrs. Yasmin. A. Barodawala (2022),A Titled, " NEO BANKING: AN INNOVATIVE WINDOW OF BANKING ARENA",Found that Recent studies highlight that neo-banks are gaining momentum in India due to their digital-first approach, low operational costs, and user-friendly services. Barodawala (2022) notes that neo-banks have been positively received by tech-savvy users for offering seamless and cost-effective alternatives to traditional banking. Powered by APIs and mobile technology, they cater especially to millennials, freelancers, and MSMEs. However, their dependence on traditional banks, lack of direct regulation, and concerns around data privacy remain major challenges. Despite these limitations, neo-banks are expected to grow rapidly alongside rising smartphone penetration and digital financial awareness.

Emmanuel Mogaji,et.all(2022), A Titled " Branding Strategies of Traditionally-Driven Neobanks",Founded that Recent literature shows that many traditional banks are launching app-only neo-banks—called Traditionally-Driven Neobanks (TDNBs)—as digital brand extensions. Mogaji et al. highlight how these banks align with their parent brands, enhance digital experiences, and use social media and influencers to build trust and visibility. Studies emphasize that branding strategies in TDNBs must address the lack of physical interaction while ensuring consistency across digital channels. Customer experience, emotional

connection, and brand familiarity are found to be key factors shaping adoption. Despite their growth, TDNBs face challenges in awareness, technology integration, and managing consumer expectations.

Mr. Allen Abbey Cavadapadikal(2022),A Titled " Are Indian Banks Meeting the Expectations of Millennials" Founded that Recent literature highlights that millennials, as digital-first consumers, demand speed, personalization, and trust from banking services. Allen Abbey (2022) notes that many Indian banks are struggling to keep up with these expectations due to legacy systems and outdated engagement strategies. Millennials often feel disconnected from traditional banks and are more open to modern digital alternatives like neo-banks. The study finds that despite various reforms and technological advancements, Indian banks need deeper innovation and customer-centricity to win over this influential generation. Understanding and meeting their expectations is now crucial for banking growth.

Falak Naz (2021) , A Titled , "EVALUATING THE ROLE OF NEO-BANKS IN INDIAN BANKING SYSTEM: REGULATORY GAPS AND RISKS", Found that Recent literature recognizes neo-banks as digital-first financial institutions that are reshaping the Indian banking sector by offering fast, convenient, and personalized services without physical branches. Studies by Lunn (2021) and Vyas (2021) highlight how neo-banks are disrupting traditional banks through advanced technology and a customer-centric approach. While they promote financial inclusion and appeal to digitally savvy users, challenges like regulatory ambiguity, limited product offerings, and data privacy concerns persist. Researchers emphasize that the future success of neo-banks in India will depend on clear regulatory frameworks, customer trust, and innovative service models tailored to evolving user needs.

Koibichuk,et.all(2021), A Titled " Innovation technology and cyber frauds risks of neobanks : gravity model analysis" Founded that Recent literature emphasizes the rapid growth of neo-banks alongside rising

cyber fraud risks. Koibichuk et al. (2021) analyze how innovative financial technologies—while improving efficiency and accessibility—also expose neo-banks to vulnerabilities like money laundering and data misuse. Their study uses a gravity model to assess global risk levels based on digital infrastructure, institutional trust, and user readiness. Despite their digital advantages, neo-banks often operate without full regulatory oversight, making risk management more complex. The authors highlight the urgent need for stricter controls and awareness to ensure secure and ethical adoption of neo-banking services.

Koen Meijer (2021) , A Titled "CUSTOMER ACCEPTANCE OF NEOBANKS: WHAT ROLE DOES NATIONAL CULTURE PLAY?", Founded that Meijer (2021) examines the influence of national culture on customer acceptance of neobanks, integrating Hofstede's cultural dimensions with the Technology Acceptance Model (TAM) and a trust construct. The study finds that while perceived ease of use, usefulness, and trust significantly influence behavioural intention to use neobanks, national cultural differences do not have a statistically significant impact. This suggests neobanks can apply standardized digital strategies across borders without cultural customization. However, building trust and promoting intuitive design remain essential for customer adoption. The findings help clarify how global neobanks can scale without heavily localizing their services.

CHAPTER 3: RESEARCH METHODOLOGY

3.1 OBJECTIVE OF THE RESEARCH :

1.TO STUDY THE AWARENESS LEVEL OF NEO BANKS AMONG SALARIED MILLENIALS .

2.TO IDENTIFY THE KEY SOURCES OF INFORMATION THROUGH WHICH SALARIED MILLENNIALS BECOME AWARE OF NEO BANKS .

3.TO EXPLORE THE PERCEPTION AND UNDERSTANDING OF NEO BANKING FEATURES AMONG SALARIED MILLENIALS WHO ARE AWARE OF NEO BANKS .

3.2 Research GAP :

While reviewing existing literature, it became clear that most studies have focused on areas like service quality, customer satisfaction, and financial inclusion within the neo-banking space. For instance, Dr. S. Mobasheer (2025) in his paper *"Customer Perception and Service Quality - A Comparative Study Among Traditional and Neo Banks"* highlighted how neo banks are perceived but didn't touch upon how people become aware of them in the first place. Similarly, P. Nithyakirrthy et al. (2024) in *"Dimensions of Risk in the Effect of Customers' Awareness and Knowledge on the Readiness to Adopt Neobanks"* pointed out that many users are unfamiliar with the term "neo-bank," but the study didn't specifically focus on salaried millennials. Puneet Bhatnagr et al. (2024) in *"Impact of Online Reputation on Neobank Adoption during COVID-19"* looked into how reputation affects adoption, but not how initial awareness is formed. Likewise, Ruhani Sohal et al. (2025) in *"Neo-Banking As A Tool Of Financial Inclusion"* focused more on underserved populations rather than urban, salaried individuals.

This gap in the literature made it important to conduct a study that looks specifically at how salaried millennials become aware of neo-banks,

where they get their information from, and how well they understand the services offered. To explore this, a quantitative survey-based approach was chosen, as it allows for a broader understanding of patterns across this specific demographic. This method is intended to provide new insights that haven't been fully addressed in the current body of research.

3.3 RESEARCH DESIGN :

Given the dynamic and evolving nature of digital banking in India, this study uses a blend of exploratory and descriptive research approaches to uncover how salaried millennials are engaging with neo-banks.

The exploratory aspect plays a key role in this research, as neo-banks are still a relatively fresh concept for many users. There isn't a lot of prior research that deeply examines how salaried millennials first come across these platforms, what drives their interest, or what doubts they might have. This part of the study is meant to dig deeper — to explore ideas, behaviours, and perceptions that haven't been clearly defined yet in the existing literature.

At the same time, the study is also descriptive in nature. It aims to capture and measure the current state of awareness: How familiar are millennials with neo-banks? Where are they getting their information from? What do they think about the services being offered? Using structured tools like surveys, this part of the research provides real-world data to describe trends, patterns, and opinions within the target group.

By combining both approaches, the study not only opens the door to new insights but also gives a clear and factual understanding of how salaried millennials perceive neo-banks in today's digital-first world.

3.4 POPULATION OF THE STUDY :

This study focuses on a very specific and relevant population: salaried millennials in India. These are individuals typically born between 1981 and 1996, who are currently in the age group of approximately 29 to 44 years. They represent a large part of the working population in the country and are often employed in sectors like IT, finance, education, healthcare, government services, and start-ups.

What makes this group particularly important is their comfort with technology and digital platforms. They use smartphones, mobile apps, and online services regularly — whether for shopping, investing, or managing their finances. This tech-savvy behavior positions them as a prime target audience for neo-banks, which operate entirely online and aim to provide convenient, user-friendly banking solutions.

At the same time, not all salaried millennials may be equally aware or confident when it comes to using neo-banking services. Some might have only heard of these platforms, while others might be actively using them — or avoiding them due to trust or security concerns. That's why understanding this population's awareness, perception, and behavior is central to the purpose of this study.

3.5 Sample Unit :

For the purpose of this research, the sample unit will comprise salaried millennials living and working in India. This group represents individuals born between 1981 and 1996—currently aged between 29 and 44 years as of 2025—who earn a regular, fixed income through formal employment. They are part of the generation that has witnessed both the rise of traditional brick-and-mortar banking and the rapid growth of digital financial services, making them a particularly relevant segment for studying awareness of neo-banks.

These individuals are typically employed in diverse sectors such as information technology, banking and finance, marketing and advertising, healthcare, education, government services, and corporate business operations. Many reside in urban and semi-urban centers where internet connectivity and smartphone usage are high, although some may also come from Tier-2 and Tier-3 cities where digital adoption is steadily growing.

From a behavioral perspective, salaried millennials are often digitally literate, time-conscious, and convenience-driven. They use mobile devices not just for communication and entertainment, but also for tasks such as online shopping, bill payments, investments, and increasingly, banking. Most have prior exposure to mobile wallets, UPI apps, or internet banking, making them more likely to understand and appreciate the value proposition of fully digital banking platforms like neo-banks.

For inclusion in the sample, respondents should:

- Fall within the defined millennial age range.
- Be employed in formal, salaried positions.
- Have access to smartphones and the internet.
- Have basic familiarity with digital banking services—even if they have not yet used a neo-bank specifically.

This demographic is chosen because it blends financial stability with digital adaptability. Their lifestyle, work patterns, and openness to new technologies position them as a key target audience for neo-banks, while also making them a rich source of insights into the challenges, perceptions, and motivators that influence digital banking adoption.

3.6 SAMPLING TECHNIQUE :

A non-probability simple random sampling technique is applied to select participants from the target population of salaried millennials in India. In this method, individuals are chosen from an accessible pool in such a way that each person in that pool has an equal chance of being included. Unlike probability-based approaches, this does not require a complete list of the entire population, making it practical where nationwide databases of all salaried millennials are unavailable.

The accessible pool of participants is identified through multiple channels, including professional networks, workplace contacts, alumni associations, LinkedIn groups, online job portals, and social media platforms. Individuals meeting the inclusion criteria—born between 1981 and 1996, employed in a salaried position, and having access to both a smartphone and the internet—are considered eligible. From within this pool, random selection is carried out using random number generators or survey software tools to maintain fairness in respondent inclusion.

While non-probability sampling may not yield perfectly representative results for the entire millennial workforce, its flexibility allows for the collection of diverse perspectives from participants across different industries such as IT, finance, healthcare, education, and services, as well as varied city tiers including metro, urban, semi-urban, and tier-2/tier-3 locations. This diversity helps capture differences in digital adoption patterns, levels of awareness, and perceptions of neo-banks.

By combining random selection within the accessible population with deliberate efforts to include varied professional and geographical backgrounds, the method strikes a balance between practicality and inclusivity. This ensures the findings reflect a realistic picture of how

salaried millennials in India engage with and perceive neo-banking services.

3.7 TOOL FOR DATA COLLECTION :

The main tool for collecting data is a structured questionnaire carefully designed to capture both factual information and personal perspectives on neo-banks among salaried millennials in India. The questionnaire is built around the study objectives and insights gathered from the literature review, ensuring that every question directly serves the purpose of understanding awareness, perceptions, and usage patterns.

To keep the flow logical and easy for respondents, the questionnaire is divided into four sections. The first section gathers basic demographic details such as age, gender, education, income range, occupation, and type of city they live in. These details help in comparing awareness levels across different groups. The second section focuses on awareness—whether respondents have heard of neo-banks, how familiar they are with the concept, and where they first learned about it. The third section explores perceptions and attitudes, asking about the benefits they see, any concerns they may have, their level of trust, and whether they would consider switching to or adopting neo-banking services. The final section looks at actual usage, asking if they have used a neo-bank, which services they have tried, how often they use them, and how satisfied they are with their experience.

Questions are written in simple, clear language so that participants can respond without confusion. Most opinion-based questions use a five-point Likert scale ranging from “Strongly Disagree” to “Strongly Agree,” allowing for a more nuanced understanding of their views. Multiple-choice and yes/no questions are used for quick, factual answers, while a few short open-ended questions are included to capture personal experiences and unique opinions.

The questionnaire is shared online through platforms like Google Forms or Microsoft Forms, making it convenient for participants to respond from anywhere and helping reach a wider audience across different regions. To ensure the questions are clear and the form runs smoothly, a pilot test is carried out with a small group before the final distribution. Feedback from the pilot is used to make small adjustments, so the tool is both easy to understand and effective in collecting meaningful data.

3.8 SOFTWARE USED FOR STATISTICAL ANALYSIS :

The data collected through the questionnaire will be processed and analyzed using Statistical Package for the Social Sciences (SPSS) software. SPSS is chosen for its reliability, user-friendly interface, and wide acceptance in academic and professional research. It offers a comprehensive set of statistical tools that allow both descriptive and inferential analysis, making it well-suited for exploring awareness levels, perceptions, and usage patterns related to neo-banks.

Once responses are gathered, the data will be cleaned to remove incomplete or invalid entries and then imported into SPSS for analysis. Descriptive statistics such as frequencies, percentages, means, and standard deviations will be used to summarize demographic profiles and general awareness trends. Inferential tests—such as Chi-square tests for associations for comparing group means, and correlation analysis to identify relationships—will be applied where relevant to address the research objectives.

SPSS also supports the creation of clear and visually appealing tables, charts, and graphs, which will help in presenting the findings in a way that is easy to interpret. By using SPSS, the analysis will not only be accurate and efficient but will also ensure that the results are presented in a structured and professional manner, enhancing the credibility of the research outcomes.

CHAPTER 4 : ANALYSIS

4.1 Cochran's Formula Calculation (94% Confidence, 6% Margin of Error)

The required sample size is calculated using Cochran's formula:

$n_0 = (Z^2 \times p \times (1 - p)) / e^2$

$n_0 = (1.88^2 \times 0.5 \times (1 - 0.5)) / 0.06^2$

$n_0 = (3.5344 \times 0.25) / 0.0036$

$n_0 = 0.8836 / 0.0036$

$n_0 \approx 245.44$

Using Cochran's formula with a 94% confidence level, 6% margin of error, and an assumed population proportion of 0.5, the required sample size was calculated to be approximately 245 respondents. However, the actual dataset consists of 324 responses, which is higher than the required number. This indicates that the study has more than sufficient data to meet the statistical requirements. The larger sample size not only satisfies the confidence and precision criteria but also enhances the reliability and validity of the findings, as it reduces the margin of error and increases the overall representativeness of the results.

4.2 HYPOTHESIS 1: Relationship between Age Group Of Respondent And Awareness of Neo Banks.

HO: There is no statistical significance between age group of respondnts and awareness of Neo Banks.

H1: There is a statistical significance difference between age group and awareness of Neo Banks.

Case Processing Summary

	Cases					
	Valid		Missing		Total	
	N	Percent	N	Percent	N	Percent
Age Of Respondent * Heard Of Neo Bank	324	63.9%	183	36.1%	507	100.0%

Age Of Respondent * Heard Of Neo Bank Crosstabulation

Count

		Heard Of Neo Bank		Total
		Yes	No	
Age Of Respondent	29-32	96	96	192
	33-36	39	15	54
	37-40	16	12	28
	41-44	27	23	50
Total		178	146	324

Chi-Square Tests

	Value	df	Asymp. Sig. (2-sided)
Pearson Chi-Square	8.480[a]	3	.037
Likelihood Ratio	8.777	3	.032

Linear-by-Linear Association	.830	1	.362
N of Valid Cases	324		

a. 0 cells (0.0%) have expected count less than 5. The minimum expected count is 12.62.

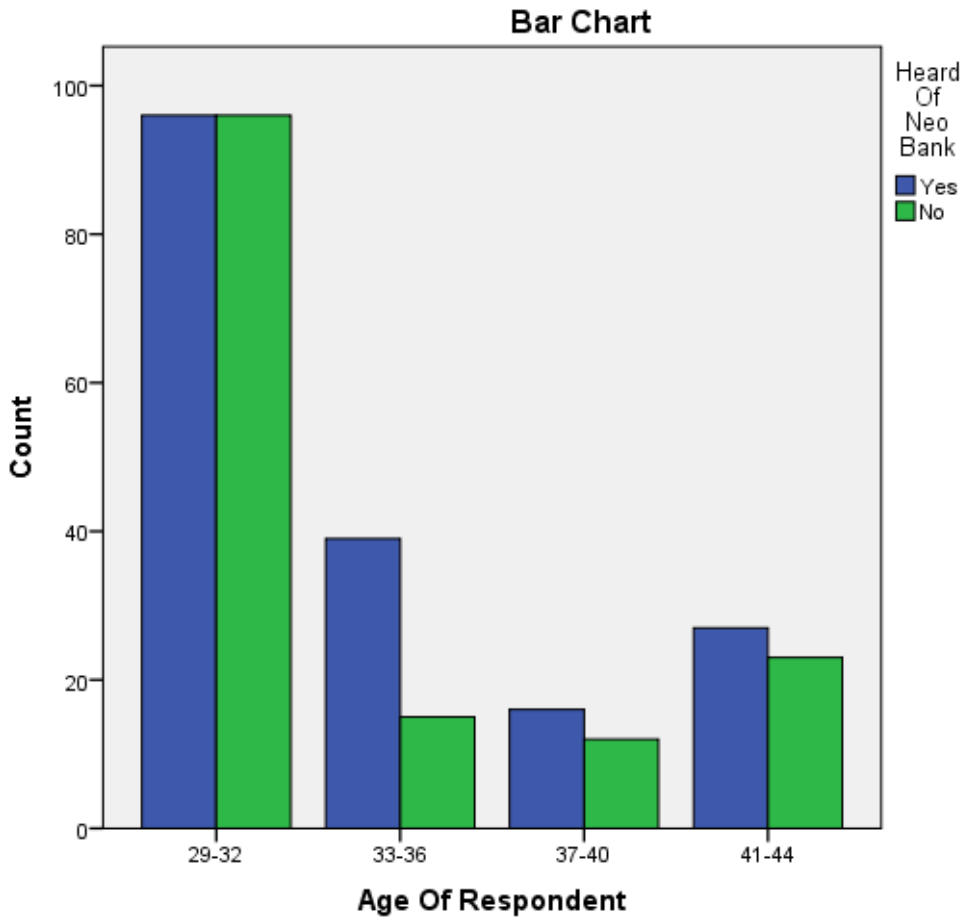
Symmetric Measures

		Value	Asymp. Std. Error[a]	Approx. T[b]	Approx. Sig.
Interval by Interval	Pearson's R	-.051	.056	-.911	.363[c]
Ordinal by Ordinal	Spearman Correlation	-.086	.056	-1.558	.120[c]
N of Valid Cases		324			

a. Not assuming the null hypothesis.

b. Using the asymptotic standard error assuming the null hypothesis.

c. Based on normal approximation.



The bar chart illustrates the awareness of Neo Banks across different age groups. The largest segment of respondents belongs to the 29–32 age group, where "Yes" and "No" responses are almost equal, indicating balanced awareness. In the 33–36 group, more individuals have heard of Neo Banks compared to those who have not, showing a clear tilt toward awareness. Similarly, in the 37–40 group, the number of "Yes" responses slightly exceeds the "No" responses. For the 41–44 group, awareness remains higher, though the difference between the two categories is smaller. Overall, the findings suggest that younger respondents, especially those aged 29–32, dominate the dataset, while awareness tends to decline with age. However, across most age groups, the proportion of respondents who have heard of Neo Banks is generally higher than those who have not.

The relationship between age group and awareness of neo banks was examined using the Chi-Square test. Out of 507 total responses, 324 valid cases were included in the analysis. The results revealed a Pearson Chi-Square value of 8.480 with 3 degrees of freedom and a significance level of 0.037, which is below the 0.05 threshold. This indicates that there is a statistically significant association between the respondent's age group and their awareness of neo banks. However, the symmetric measures, including Pearson's R (–0.051) and Spearman's correlation (–0.086), suggest that the strength of this association is weak. Thus, while age group does influence awareness levels, the effect is relatively limited. Based on these findings, the null hypothesis is rejected, confirming that awareness of neo banks significantly varies across different age groups, albeit with low correlation strength.

4.3 HYPOTHESIS 2: Relationship between Educational Qualification of Respondents And Their Rating of Awareness about Neo Banks.

H0: There is no statistical significance between educational qualification of respondents and their rating of awareness about neo banks.

H1: There is statistical significance between educational qualification of respondents and their rating of awareness about neo banks.

Case Processing Summary

	Cases					
	Valid		Missing		Total	
	N	Percent	N	Percent	N	Percent

Qualification Of Respondent * Rating Of Awareness	324	63.9%	183	36.1%	507	100.0%

Qualification Of Respondent * Rating Of Awareness Crosstabulation

Count

		Rating Of Awareness				Total
		Very high	Moderate	Low	Just heard the term	
Qualification Of Respondent	Undergraduate degree	40	48	24	22	134
	Postgraduate degree	31	54	26	25	136
	Professional certification (CA, CFA,etc.)	15	21	9	1	46
	Other	2	2	2	2	8
Total		88	125	61	50	324

Chi-Square Tests

	Value	df	Asymp. Sig. (2-sided)
Pearson Chi-Square	9.923[a]	9	.357
Likelihood Ratio	12.866	9	.169
Linear-by-Linear Association	.300	1	.584
N of Valid Cases	324		

a. 4 cells (25.0%) have expected count less than 5. The minimum expected count is 1.23.

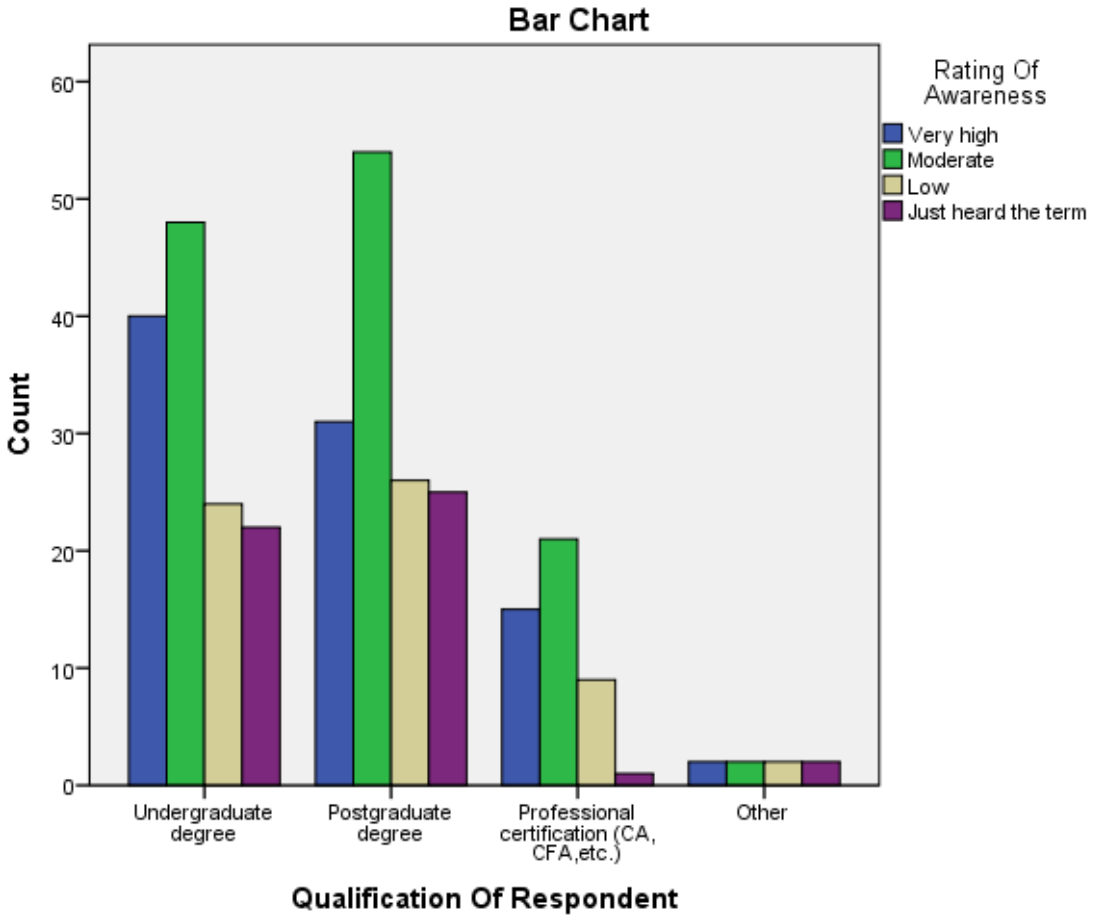
Symmetric Measures

		Value	Asymp. Std. Error[a]	Approx. T[b]	Approx. Sig.
Interval by Interval	Pearson's R	-.030	.055	-.547	.585[c]
Ordinal by Ordinal	Spearman Correlation	-.017	.055	-.302	.763[c]
N of Valid Cases		324			

a. Not assuming the null hypothesis.

b. Using the asymptotic standard error assuming the null hypothesis.

c. Based on normal approximation.



The bar chart highlights the relationship between respondents' qualifications and their rating of awareness about Neo Banks. Among undergraduates, awareness is relatively balanced, with the highest count in the "Moderate" category, followed by a significant number reporting "Very high" awareness. Postgraduates also show strong awareness, where "Moderate" awareness dominates, while "Very high," "Low," and "Just heard the term" are distributed fairly evenly. Respondents with professional certifications (such as CA or CFA) mostly fall under "Moderate" awareness, with fewer in the "Very high" and "Low" categories. For those classified under "Other" qualifications, awareness

is minimal across all categories. Overall, the chart indicates that respondents with both undergraduate and postgraduate degrees display stronger awareness levels compared to other qualification groups, with "Moderate" awareness consistently emerging as the most common rating.

The relationship between educational qualification of respondents and their rating of awareness about neo banks was analyzed using the Chi-Square test. Out of 507 total responses, 324 valid cases were included in the analysis. The Pearson Chi-Square value was 9.923 with 9 degrees of freedom, yielding a significance level of 0.357, which is greater than the 0.05 threshold. This indicates that there is no statistically significant association between educational qualification and awareness ratings. Further, symmetric measures such as Pearson's R (–0.030) and Spearman's correlation (–0.017) confirm that the strength of association is negligible. These results suggest that respondents' awareness of neo banks does not vary meaningfully with their educational background. Therefore, the null hypothesis is accepted, and the alternative hypothesis is rejected in this case.

4.4 HYPOTHESIS 3: Relationship between Gender Of Respondent And First Heard About NeoBank.

H0 : There is no statistical significance difference between gender of respondent and first heard about neo bank .

H1 : There is statistical significance difference between gender of respondent and first heard about neo bank .

Case Processing Summary

	Cases					
	Valid		Missing		Total	
	N	Percent	N	Percent	N	Percent
Gender Of Respondent * First Heard About NeoBank	324	63.9%	183	36.1%	507	100.0%

Gender Of Respondent * First Heard About NeoBank Crosstabulation									
Count									
		First Heard About NeoBank							Total
		Social media(Instagram, Facebook,etc.)	YouTube/ Online videos	Digital ads/ sponsored posts	Friends /Colleagues	Employer /Workplace communication	New articles /Financial blogs	Other	
Gend	Male	35	18	31	38	18	11	3	154

erOfRespondent	Female	34	22	26	49	8	17	3	159
	Other	0	0	1	0	1	0	0	2
	Prefernottosay	0	4	2	1	2	0	0	9
Total		69	44	60	88	29	28	6	324

Chi-Square Tests

	Value	df	Asymp. Sig. (2-sided)
Pearson Chi-Square	25.666[a]	18	.108
Likelihood Ratio	25.386	18	.115
Linear-by-Linear Association	.021	1	.884
N of Valid Cases	324		

a. 16 cells (57.1%) have expected count less than 5. The minimum expected count is .04.

Symmetric Measures

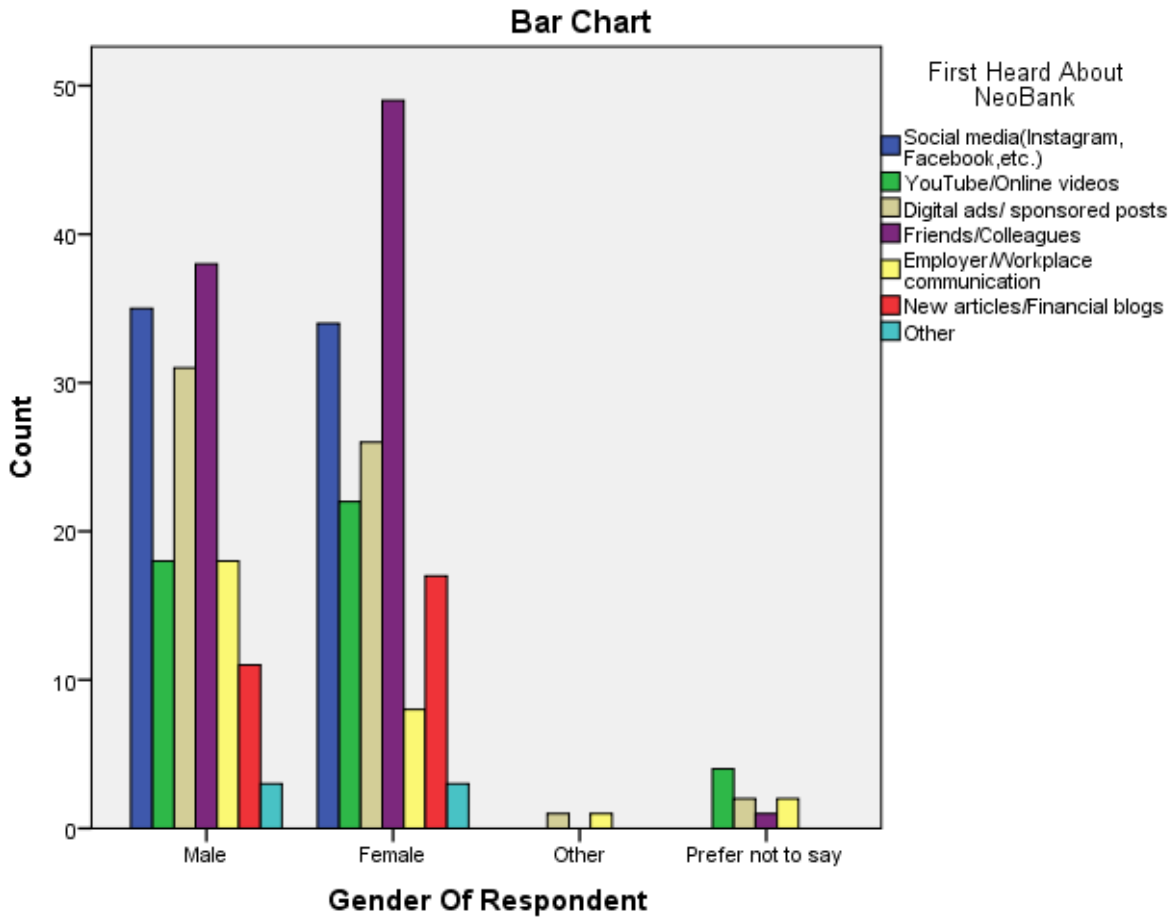
		Value	Asymp. Std. Error[a]	Approx. T[b]	Approx. Sig.
Interval by Interval	Pearson's R	.008	.050	.146	.884[c]
Ordinal by Ordinal	Spearman Correlation	.012	.055	.212	.833[c]

N of Valid Cases	32 4			

a. Not assuming the null hypothesis.

b. Using the asymptotic standard error assuming the null hypothesis.

c. Based on normal approximation.



The bar chart shows how respondents of different genders first heard about Neo Banks. For both males and females, the most common source of awareness is through friends and colleagues, followed closely by social media platforms like Instagram and Facebook. Digital ads and YouTube videos also play a significant role in spreading awareness, though at comparatively lower levels. Among females, news articles and financial blogs appear more influential than for males. Employer or workplace

communication contributes modestly across both genders. Respondents identifying as “Other” show very limited sources of awareness, while those who “Prefer not to say” mainly reported YouTube and digital ads as their sources. Overall, personal networks and social media emerge as the strongest channels of Neo Bank awareness, with noticeable gender differences in secondary sources like blogs and workplace communication.

The relationship between respondents’ gender and the source from which they first heard about neo banks was examined using the Chi-Square test. Out of 507 total responses, 324 valid cases were included in the analysis. The Pearson Chi-Square value was 25.666 with 18 degrees of freedom, yielding a significance level of 0.108, which is greater than the 0.05 threshold. This indicates that there is no statistically significant association between gender and the first source of information about neo banks. Symmetric measures, including Pearson’s R (0.008) and Spearman’s correlation (0.012), also suggest that the strength of association is negligible. These findings imply that gender does not meaningfully influence how respondents first became aware of neo banks. Consequently, the null hypothesis is accepted, and the alternative hypothesis is rejected for this relationship.

4.5 HYPOTHESIS 4 : Relationship between Age Of Respondent * First Heard About Neo Bank.

H0 : There is no statistical significance difference between age of respondent * first heard about neo bank

H1 : There is statistical significance difference between age of respondent * first heard about neo bank

Case Processing Summary						
	Cases					
	Valid		Missing		Total	
	N	Percent	N	Percent	N	Percent
Age Of Respondent * First Heard About NeoBank	324	63.9%	183	36.1%	507	100.0%

Chi-Square Tests

	Value	df	Asymp. Sig. (2-sided)
Pearson Chi-Square	43.055[a]	18	.001
Likelihood Ratio	37.624	18	.004
Linear-by-Linear Association	2.430	1	.119
N of Valid Cases	324		

a. 11 cells (39.3%) have expected count less than 5. The minimum expected count is .52.

Age Of Respondent * First Heard About NeoBank Crosstabulation

Count

	First Heard About NeoBank							Total
	Social media(Instagram,Facebook,etc.)	YouTube/Online videos	Digital ads/sponsored posts	Friends/Colleagues	Employer/Workplace communication	New articles/Financial blogs	Other	

Age Of Respondent	29-32	45	19	34	65	15	13	1	192
	33-36	14	12	10	7	6	5	0	54
	37-40	3	4	3	6	3	6	3	28
	41-44	7	9	13	10	5	4	2	50
Total		69	44	60	88	29	28	6	324

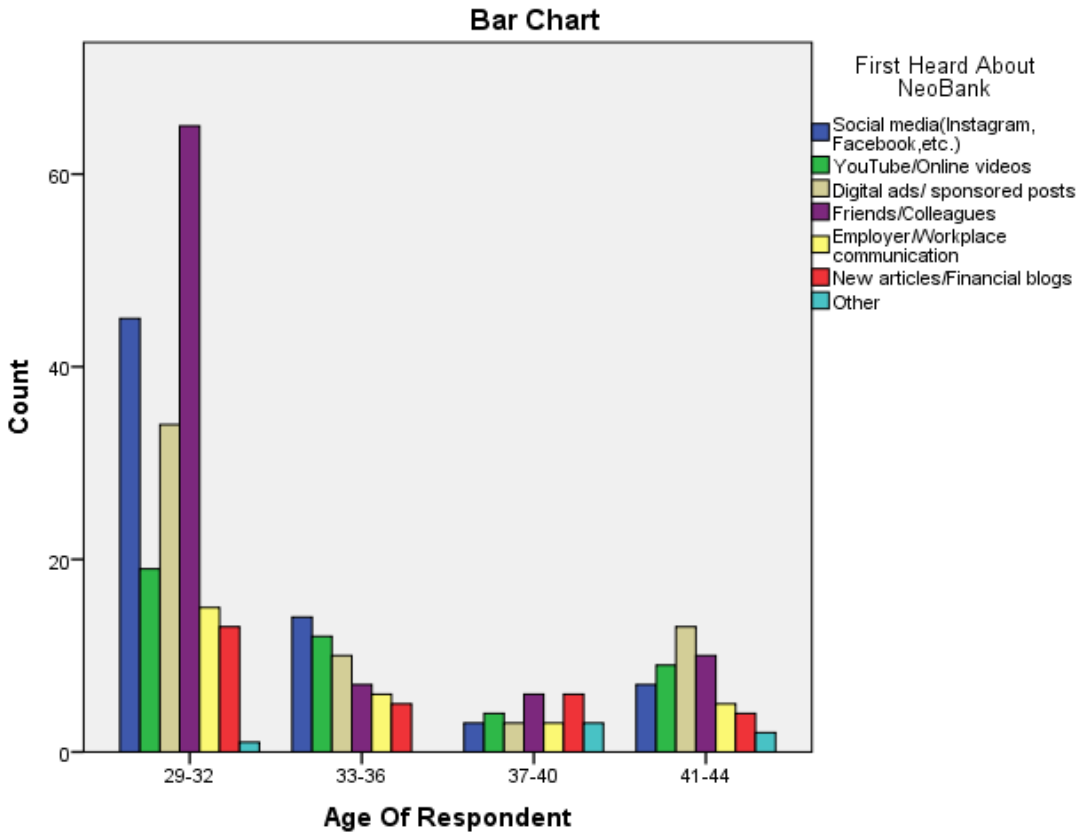
Symmetric Measures

		Value	Asymp. Std. Error[a]	Approx. T[b]	Approx. Sig.
Interval by Interval	Pearson's R	.087	.055	1.562	.119[c]
Ordinal by Ordinal	Spearman Correlation	.051	.056	.919	.359[c]
N of Valid Cases		324			

a. Not assuming the null hypothesis.

b. Using the asymptotic standard error assuming the null hypothesis.

c. Based on normal approximation.



The bar chart shows where respondents of different age groups first heard about Neo Banks. The age group 29–32 has the highest number of responses, and most of them came to know about Neo Banks through friends/colleagues, followed by social media and digital ads. This suggests that younger millennials rely heavily on peer networks and online platforms to learn about new financial products.For the 33–36 age group, the counts are lower but still show a similar pattern — social media, YouTube videos, and friends/colleagues remain the main sources of information. This indicates moderate exposure to online financial content.Among the 37–40 and 41–44 age groups, the overall number of respondents is much smaller, and their sources are more evenly spread across social media, workplace communication, and digital ads. This shows that older millennials are less exposed to Neo Bank information and may not actively engage with digital financial content as much as younger respondents.

The relationship between respondents' age group and their source of first awareness about Neo Banks was examined using the Chi-Square test. Out of the total responses, 324 valid cases were included in the analysis. The Pearson Chi-Square value was 43.055 with 18 degrees of freedom, and the significance level was 0.001, which is well below the 0.05 threshold. This indicates a statistically significant association between age and the source from which respondents first heard about Neo Banks.Although some cells (39.3%) had expected counts less than 5, the overall Pearson result still shows a meaningful relationship. The significance values from both Pearson Chi-Square (0.001) and the Likelihood Ratio (0.004) support this conclusion.These findings suggest that age plays an important role in determining how respondents learn about Neo Banks. Younger respondents rely more on social media and peers, while older respondents may come across Neo Bank information through workplace communication or digital ads.Therefore, the null hypothesis is rejected, and the alternative hypothesis is accepted, confirming that age significantly influences the source of Neo Bank awareness.

4.6 HYPOTHESIS 5: Relationship between Age Of Respondent And Perception Of NeoBank.

H1 : There is a statistical significance difference between age of respondent and perception of neo bank .

H0 : There is no statistical significance difference between age of respondent and perception of neo bank .

Case Processing Summary

	Cases					
	Valid		Missing		Total	
	N	Percent	N	Percent	N	Percent
Age Of Respondent * Perception Of NeoBank	324	63.9%	183	36.1%	507	100.0%

Age Of Respondent * Perception Of NeoBank Crosstabulation

Count

		Perception Of NeoBank				Total
		Very positive	Somewhat positive	Neutral	Negative	
Age Of Respondent	29-32	48	56	75	13	192
	33-36	19	19	12	4	54

	37-40	4	9	12	3	28
	41-44	11	11	16	12	50
Total		82	95	115	32	324

Chi-Square Tests

	Value	df	Asymp. Sig. (2-sided)
Pearson Chi-Square	21.569[a]	9	.010
Likelihood Ratio	19.377	9	.022
Linear-by-Linear Association	3.901	1	.048
N of Valid Cases	324		

a. 2 cells (12.5%) have expected count less than 5. The minimum expected count is 2.77.

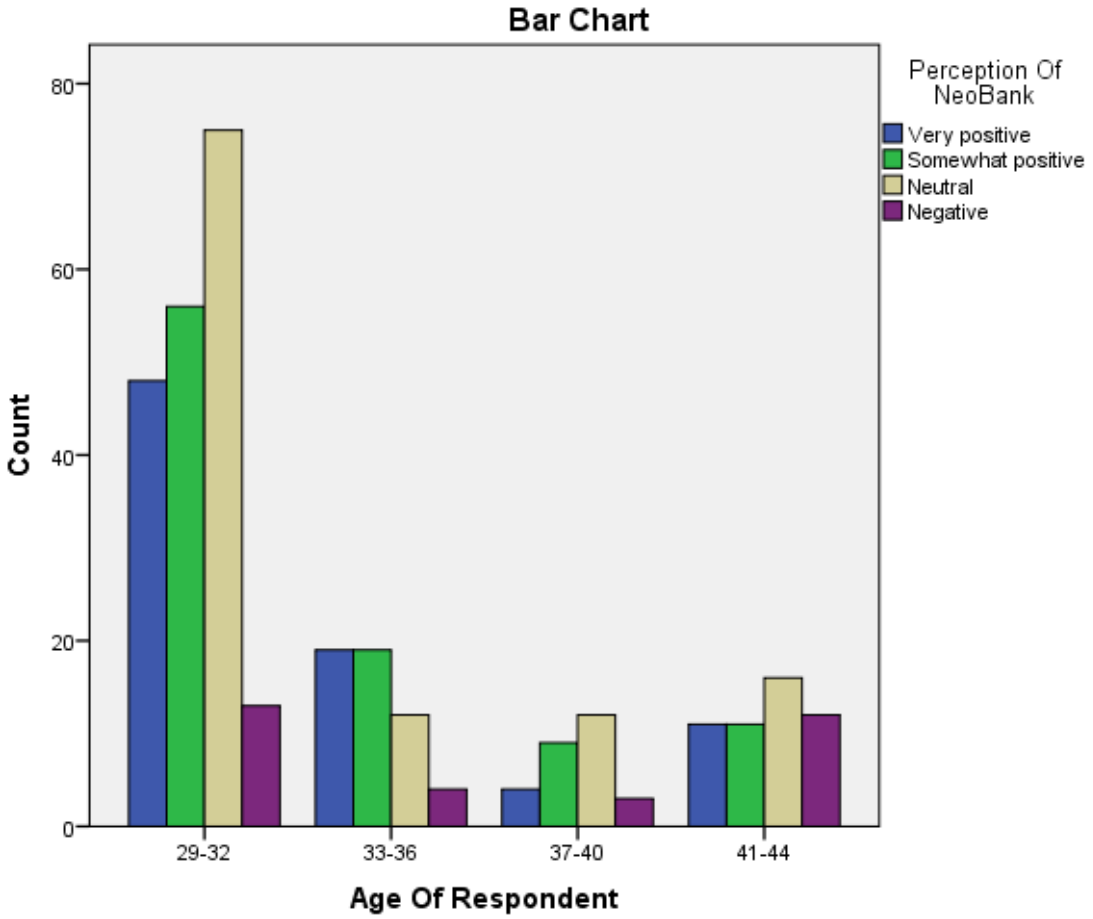
Symmetric Measures

		Value	Asymp. Std. Error[a]	Approx. T[b]	Approx. Sig.
Interval by Interval	Pearson's R	.110	.059	1.984	.048[c]
Ordinal by Ordinal	Spearman Correlation	.065	.058	1.168	.244[c]
N of Valid Cases		324			

a. Not assuming the null hypothesis.

b. Using the asymptotic standard error assuming the null hypothesis.

c. Based on normal approximation.



The bar chart shows the perception of Neo Banks among different age groups of respondents. The majority of respondents aged 29–32 hold a neutral or somewhat positive perception, indicating higher engagement and awareness within this age group. The 33–36 group shows a balanced mix of very positive and somewhat positive perceptions, while neutral and negative opinions are relatively fewer. For the 37–40 and 41–44 age groups, responses are more evenly distributed but at lower overall counts, suggesting lesser awareness or experience with Neo Banks. Overall, younger millennials (29–32) show the strongest awareness and engagement compared to older respondents.

The relationship between respondents' age and their perception of neo banks was examined using the Chi-Square test. Out of 507 total

responses, 324 valid cases were analyzed. The Pearson Chi-Square value was 21.569 with 9 degrees of freedom, yielding a significance level of 0.010, which is less than the 0.05 threshold. This indicates a statistically significant association between age and perception of neo banks. Symmetric measures, including Pearson's R (0.110) and Spearman's correlation (0.065), suggest a weak but positive relationship between the two variables. These findings imply that age has a small yet significant influence on respondents' perception of neo banks. Consequently, the null hypothesis is rejected, and the alternative hypothesis is accepted.

CHAPTER 5 : FINDINGS , SUGGESTIONS AND CONCLUSION.

5.1 FINDINGS :

- **Overall awareness exists but lacks depth**
  Most respondents know the phrase "Neo Bank" and recognise that these are app-based, digital banking services. However, this recognition is often superficial — people know the name and the idea of "digital banking," but not the specifics: how Neo Banks operate day-to-day, what protections exist for customers, or how they differ from other fintech apps. In short: people have heard of Neo Banks, but many would struggle to explain their exact role or limitations if asked.
- **Limited understanding of the Neo Bank model**
  When asked to explain how Neo Banks work, many participants described them as "apps for money" or "digital wallets." Only a few described the actual partnership model — that Neo Banks generally provide the interface and customer experience while licensed banks handle deposits and regulatory responsibilities. This partial understanding creates confusion about safety, who holds the money, and where complaints should be raised.
- **Awareness grows with digital engagement**
  People who already use online banking, UPI, or other fintech tools tend to be more familiar with Neo Banks. That is, digital habits predict Neo Bank awareness: frequent users of digital payments discover Neo Banks naturally as part of their app ecosystem. Conversely, those who use digital tools less often are less likely to know what Neo Banks offer beyond basic transactions.
- **Younger portion of the sample (29–35) shows stronger familiarity**
  Within your 29–44 sample, the younger sub-group (29–35) generally displays greater curiosity and practical familiarity with Neo Banking features. They are more likely to have tried an app, skimmed product pages, or understood basic features than the older subgroup (36–44). This suggests a generational tilt even inside the millennial bracket toward earlier adoption among younger working professionals.

- **Respondents recognise the larger digital banking trend**
  Across the board people understand that banking is moving online — they see Neo Banks as part of a bigger shift rather than an isolated novelty. This broad contextual awareness makes them open to learning more, but it doesn't automatically translate into confident use of Neo Bank products as their main bank.
- **Social media and short video content are primary discovery channels**
  Most participants reported first seeing Neo Bank content via Instagram reels, YouTube explainers, or LinkedIn posts. Short videos, influencer reviews, and sponsored posts often introduce the brand and highlight convenience features, which makes people click and explore further. Because the content is bite-sized and visual, it attracts attention quickly — but it often doesn't explain the deeper operational or regulatory details.
- **Word of mouth — colleagues and friends matter**
  Personal recommendations carry real weight. Hearing a colleague describe a good experience, or a friend saying "I use X for keeping pocket money," encourages others to try the app. These personal endorsements frequently push someone from "heard of it" to "downloaded and tried it."
- **App stores and fintech ecosystems create incidental awareness**
  Many respondents discovered Neo Banks while browsing app stores, or when a Neo Bank was suggested inside an investment or payments app. These in-app placements are effective because they reach people already doing finance-related tasks — awareness is generated in a context where users are already receptive.
- **Traditional media plays little role**
  TV ads, newspapers and radio were rarely mentioned as sources of first awareness. For this sample (salaried millennials), digital channels dominate — so Neo Banks' marketing is working where this audience lives online, not in print or broadcast.

- **Employer/HR touchpoints create targeted visibility**
  When workplaces or HR platforms mention digital salary tools or offer employee financial benefits, respondents sometimes hear about Neo Banks through those channels. These are smaller but meaningful pathways because they come bundled with trust — if the employer highlights a service, employees are more likely to pay attention.
- **Neo Banks are widely seen as convenient and easy to use**
  Respondents praise quick account opening, minimal paperwork, and the ability to manage money entirely from a phone. These practical benefits — instant registration, clear UI, and smart notifications — are what most users value and remember about Neo Banks.
- **Trust and safety concerns limit full adoption**
  Even when users like the convenience, many are hesitant to make Neo Banks their primary bank account because of worries about data privacy, fraud, or unclear regulatory status. The partner-bank model leaves some users unsure about who will answer if something goes wrong, which stops them from moving their salary or large balances to Neo Banking apps.
- **Most use Neo Banks as a supplementary tool**
  The pattern is: Neo Banks for daily convenience and specialized tasks (budgeting, travel card, quick transfers), traditional banks for salaries, loans, and long-term savings. This “supplementary usage” shows trust is partial — people value features but keep core finances where they feel the most secure.
- **Awareness of advanced features is patchy**
  While users easily list basic services (payments, notifications, cards), fewer know about or use advanced capabilities like automated investing, integrated credit offers, or advanced analytics. The result: many users don’t get the full value Neo Banks can offer because they simply don’t know about those tools.
- **Perception is shaped by app experience and transparency**
  When an app is well designed, transparent about fees, and clear about

security steps, users' trust and willingness to use it increase quickly. Conversely, slow customer service or even a single confusing message about where funds are held can erode confidence rapidly. In short, day-to-day experience and clear communication matter more than marketing slogans.

5.2 SUGGESTIONS :

- **Create short, plain-language explainers that teach, not just advertise**

  Rather than only pushing promos, Neo Banks should publish simple explainers that answer key questions: "What is a Neo Bank?", "Who holds my money?", and "How do I raise a complaint?" Use short videos and crisp FAQs that a busy salaried professional can read or watch in under two minutes. The goal is to move users from surface familiarity to real understanding.
- **Run periodic live webinars or office Q&A sessions for professionals**

  Host short webinars targeted at working professionals (lunch-hour sessions or post-work times) where product managers explain how Neo Banks operate and take live questions. These sessions are low-barrier and build trust faster than static ads because participants can ask their exact concerns.
- **Be explicit about the banking partner and what protections exist**

  On the app's home page and marketing materials, prominently state the name of the partner bank, how deposits are held, and the recourse path in case of disputes. Clear statements about regulatory compliance reduce ambiguity and make people more comfortable trying the service.
- **Use social media for education, not just promotion**

  On Instagram, LinkedIn and YouTube, post short tutorials, myth-busting reels, and real user stories that explain how to use features safely. Keep the tone friendly and practical — people respond well to relatable tips rather than technical legalese.

- **Equip existing customers to become credible ambassadors** Launch referral programs that reward helpful behaviours (explaining a feature to a friend, sharing a short savings tip) rather than just offering cash incentives. When a colleague explains how a feature helped them, that explanation is more convincing than any ad.
- **Partner with HR platforms and payroll services** Build integrations with workplace financial wellness programs or payroll providers to provide a gentle, trusted way to introduce Neo Banking options to salaried professionals. Employers who explain optional benefits create a strong channel for safe trial.
- **Clearly communicate security and data protection features:** Neo Banks should use simple, visual communication to explain how they protect user information and funds. Demonstrating real-time fraud monitoring, two-factor authentication, and encryption builds confidence.
- **Promote detailed understanding of available features:** Since most users are unaware of advanced offerings, Neo Banks should highlight features like goal-based saving, expense tracking, and financial analytics through app demos and tutorial videos.
- **Provide personalized and interactive user experiences:** Developing AI-driven dashboards or financial guidance tools can help users explore the full capabilities of Neo Banks and realize the long-term benefits of digital-only banking.
- **Strengthen customer engagement through transparency:** Providing clear communication about regulatory partnerships, account handling, and complaint procedures will improve perception and reassure users that Neo Banks are safe and accountable institutions.

5.3 CONCLUSION:

This study set out to understand how salaried millennials aged 29–44 perceive Neo Banks: how much they know, where they learn about them, and what they think about the features. The answer is hopeful but cautious. Your respondents are curious and often appreciative of the convenience Neo Banks offer — they like instant onboarding, clean app interfaces, and the ability to manage money from the phone. At the same time, many stop short of trusting Neo Banks with their core finances because they don't fully understand how the services are structured or where their money technically sits.

In practical terms, the problem is not a lack of interest — it's a lack of clear, simple explanations and visible trust signals. People discover Neo Banks online and via peers, they like the day-to-day ease, but they want crystal-clear answers before they move salaries or sizable balances. That's the gap the suggestions in Chapter 6 are designed to fill: explain, show, and support.

If Neo Banks focus on short, honest education pieces; make security and partnerships highly visible; strengthen workplace and peer channels; and deliver consistent, human customer support, they will likely convert many trial users into long-term customers. In short: the technology and demand are present — what remains is clarity and confidence. Address those, and Neo Banks can move from being handy digital tools to trusted, everyday banking partners for India's salaried millennials.

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CHAPTER 7 : ANNEXURE

Research Questionnaire :

The following questionnaire was designed to collect primary data from salaried millennials (aged 29–44 years) to assess their awareness, perception, and understanding of Neo Banks.

Q1. What is your age group?

☐ 25–29 years
☐ 30–34 years
☐ 35–39 years
☐ 40–44 years

Q2. What is your gender?

☐ Male
☐ Female
☐ Other
☐ Prefer not to say

Q3. What is your highest educational qualification?

☐ Undergraduate degree
☐ Postgraduate degree
☐ Professional certification (CA, CFA, etc.)
☐ Other

Q4. What is your monthly income range?

☐ Below ₹25,000
☐ ₹25,000 – ₹50,000
☐ ₹50,001 – ₹75,000
☐ Above ₹75,000

Q5. Have you heard of the term "neo bank" before?

☐ Yes
☐ No

Q6. From your understanding, what does the term "neo bank" mean?

☐ A fully digital-only bank
☐ A mobile wallet/payment app
☐ A digital service from a traditional bank
☐ Not sure

Q7. How would you rate your awareness about neo banks?

☐ Very high
☐ Moderate

☐ Low
☐ Just heard the term

Q8. Which of the following services do you think neo banks can provide? (Select all that apply)
☐ Online account opening
☐ Fund transfers
☐ Expense tracking
☐ Cash deposit facility
☐ Personalized financial insights
☐ Not sure

Q9. Where did you first hear about neo banks?
☐ Social media (Instagram, Facebook, etc.)
☐ YouTube/Online videos
☐ Digital ads/sponsored posts
☐ Friends/Colleagues
☐ Employer/Workplace communication
☐ News articles/Financial blogs
☐ Other (please specify)

Q10. Which of the following do you trust most when learning about new financial products?
☐ Personal recommendations
☐ Social media influencers
☐ News/Business media
☐ Company websites
☐ Comparison apps (e.g., BankBazaar, Policybazaar)

Q11. How often do you come across neo bank advertisements or promotions online?
☐ Very frequently
☐ Occasionally
☐ Rarely
☐ Never

Q12. How would you describe your overall perception of neo banks?
☐ Very positive
☐ Somewhat positive
☐ Neutral
☐ Negative
☐ Not sure

Q13. Which features of neo banks do you find most appealing? (Select up to 3)

☐ Zero-balance accounts
☐ Easy account opening
☐ Smart saving tools
☐ Expense tracking
☐ Cashback/rewards
☐ 24/7 customer support
☐ None

Q14. What are your major concerns about using neo banks?

☐ Data security/privacy
☐ Lack of regulation
☐ No physical branches
☐ Limited services (e.g., no cash deposits)
☐ I have no concerns

Q15. How likely are you to use or continue using a neo bank in the next 12 months?

☐ Very unlikely
☐ Unlikely
☐ Neutral
☐ Likely
☐ Very likely

Objective	Questions (MCQs)	Findings:	Suggestions:
1. To study the awareness level of neo banks among salaried millennials	Q5 (Heard of neo bank), Q6 (Understanding meaning), Q7 (Awareness rating), Q8 (Services knowledge)	• Overall awareness exists but lacks depth • Limited understanding of the Neo Bank model • Awareness grows with digital engagement • Younger portion shows stronger familiarity • Respondents recognise the larger digital banking trend • Awareness of advanced features is patchy	• Create short, plain-language explainers • Be explicit about partner bank and protections • Use social media for education • Clearly communicate security & data protection features • Promote detailed understanding of features
2. To identify the key sources of information through which salaried millennials	Q9 (First heard), Q10 (Trusted sources), Q11 (Ad frequency)	• Social media and short video content as primary discovery channels	• Use social media for education, not just promotion • Equip

Objective	Questions (MCQs)	Findings:	Suggestions:
become aware of neo banks		• Word of mouth – colleagues and friends • App stores and fintech ecosystems • Traditional media plays little role • Employer/ HR touchpoints	existing customers as ambassadors • Partner with HR platforms and payroll services • Run periodic live webinars or office Q&A sessions
3. To explore the perception and understanding of neo banking features among salaried millennials who are aware of neo banks	Q12 (Perception), Q13 (Appealing features), Q14 (Concerns), Q15 (Future intention to adopt/use)	• Neo Banks seen as convenient and easy to use • Trust and safety concerns limit full adoption • Most use Neo Banks as a supplementary tool • Perception shaped by app experience and	• Provide personalized & interactive user experiences • Strengthen customer engagement through transparency • Promote detailed understanding of features • Clearly communicate security &

Objective	Questions (MCQs)	Findings:	Suggestions:
		transparency	data protection features
Control/Demographic Variables	Q1 (Age), Q2 (Gender), Q3 (Education), Q4 (Income)		